

**JOCHU TECHNOLOGY CO., LTD. AND
SUBSIDIARIES
CONSOLIDATED FINANCIAL STATEMENTS AND
INDEPENDENT AUDITORS' REVIEW REPORT
JUNE 30, 2024 AND 2023**

For the convenience of readers and for information purpose only, the auditors' report and the accompanying financial statements have been translated into English from the original Chinese version prepared and used in the Republic of China. In the event of any discrepancy between the English version and the original Chinese version or any differences in the interpretation of the two versions, the Chinese-language auditors' report and financial statements shall prevail.

INDEPENDENT AUDITORS' REVIEW REPORT

To the Board of Directors and Shareholders of JOCHU TECHNOLOGY CO., LTD.

Introduction

We have reviewed the accompanying consolidated balance sheets of JOCHU TECHNOLOGY CO., LTD. and subsidiaries (the "Group") as at June 30, 2024 and 2023, and the related consolidated statements of comprehensive income for the three-month and six-month periods then ended, as well as the consolidated statements of changes in equity and of cash flows for the six-month periods then ended, and notes to the consolidated financial statements, including a summary of material accounting policies. Management is responsible for the preparation and fair presentation of these consolidated financial statements in accordance with the Regulations Governing the Preparation of Financial Reports by Securities Issuers and International Accounting Standard 34, "Interim Financial Reporting" that came into effect as endorsed by the Financial Supervisory Commission. Our responsibility is to express a conclusion on these consolidated financial statements based on our reviews.

Scope of Review

We conducted our reviews in accordance with the Standard on Review Engagements 2410, "Review of Financial Information Performed by the Independent Auditor of the Entity" of the Republic of China. A review of consolidated financial statements consists of making inquiries, primarily of persons responsible for financial and accounting matters, and applying analytical and other review procedures. A review is substantially less in scope than an audit and consequently does not enable us to obtain assurance that we would become aware of all significant matters that might be identified in an audit. Accordingly, we do not express an audit opinion.

Conclusion

Based on our reviews, nothing has come to our attention that causes us to believe that the accompanying consolidated financial statements do not present fairly, in all material respects, the consolidated financial position of the Group as at June 30, 2024 and 2023, and of its consolidated financial performance for the three-month and six-month periods then ended and its consolidated cash flows for the six-month periods then ended in accordance with the Regulations Governing the Preparation of Financial Reports by Securities Issuers and International Accounting Standard 34, "Interim Financial Reporting" that came into effect as endorsed by the Financial Supervisory Commission.

Liao, Fu-Ming

Lin, Yung-Chih

For and on Behalf of PricewaterhouseCoopers, Taiwan

August 13, 2024

The accompanying consolidated financial statements are not intended to present the financial position and results of operations and cash flows in accordance with accounting principles generally accepted in countries and jurisdictions other than the Republic of China. The standards, procedures and practices in the Republic of China governing the audit of such financial statements may differ from those generally accepted in countries and jurisdictions other than the Republic of China. Accordingly, the accompanying consolidated financial statements and independent auditors' report are not intended for use by those who are not informed about the accounting principles or auditing standards generally accepted in the Republic of China, and their applications in practice.

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
CONSOLIDATED BALANCE SHEETS
JUNE 30, 2024, DECEMBER 31, 2023 AND JUNE 30, 2023

(In thousands of New Taiwan dollars)

(The consolidated balance sheets as of June 30, 2024 and 2023 are reviewed, not audited)

Assets			June 30, 2024		December 31, 2023		June 30, 2023	
			AMOUNT	%	AMOUNT	%	AMOUNT	%
Current assets								
1100	Cash and cash equivalents	6(1)	\$ 1,208,386	27	\$ 1,223,585	28	\$ 1,578,427	34
1110	Financial assets at fair value through profit or loss - current	6(2)	204	-	7,870	-	-	-
1136	Financial assets at amortised cost - current	6(4) and 8	134,032	3	187,245	4	17,669	-
1150	Notes receivable, net	6(5)	13,170	-	31,977	1	32,064	1
1170	Accounts receivable, net	6(5)	1,107,278	25	1,131,766	26	1,087,394	24
1180	Accounts receivable - related parties, net	7	1,506	-	1,654	-	-	-
1197	Finance lease receivable, net		1,730	-	1,614	-	-	-
1200	Other receivables	6(6)	109,953	2	88,667	2	114,872	3
1220	Current income tax assets		1,315	-	10,892	-	56,390	1
130X	Inventories	6(7)	248,405	6	200,485	5	224,280	5
1410	Prepayments		22,949	1	23,894	-	21,712	-
1470	Other current assets		40,548	1	38,499	1	35,211	1
11XX	Total current assets		2,889,476	65	2,948,148	67	3,168,019	69
Non-current assets								
1510	Non-current financial assets at fair value through profit or loss	6(2)	32,920	1	25,103	1	22,780	1
1517	Financial assets at fair value through other comprehensive income - non-current	6(3)	8,745	-	3,070	-	3,114	-
1535	Financial assets at amortised cost - non-current	6(4) and 8	-	-	399	-	406	-
1600	Property, plant and equipment	6(9) and 8	1,167,931	26	1,101,577	25	1,125,295	24
1755	Right-of-use assets	6(10) and 7	133,770	3	131,615	3	128,188	3
1780	Intangible assets	6(11) (30)	66,342	2	67,545	2	55,150	1
1840	Deferred income tax assets		43,649	1	42,635	1	51,949	1
1975	Net defined benefit asset - non-current		10,263	-	10,206	-	10,068	-
1990	Other non-current assets	8	87,926	2	54,039	1	49,004	1
15XX	Total non-current assets		1,551,546	35	1,436,189	33	1,445,954	31
1XXX	Total assets		\$ 4,441,022	100	\$ 4,384,337	100	\$ 4,613,973	100

(Continued)

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
CONSOLIDATED BALANCE SHEETS
JUNE 30, 2024, DECEMBER 31, 2023 AND JUNE 30, 2023
(In thousands of New Taiwan dollars)

(The consolidated balance sheets as of June 30, 2024 and 2023 are reviewed, not audited)

Liabilities and Equity		Notes	June 30, 2024		December 31, 2023		June 30, 2023	
			AMOUNT	%	AMOUNT	%	AMOUNT	%
Current liabilities								
2100	Short-term borrowings	6(12)	\$ 45,000	1	\$ 45,000	1	\$ 40,000	1
2120	Current financial liabilities at fair value through profit or loss	6(2)	2,574	-	-	-	18,961	-
2130	Contract liabilities - current	6(21)	12,781	-	4,082	-	842	-
2170	Accounts payable	6(13)	584,937	13	485,963	11	556,091	12
2180	Accounts payable to related parties	7	-	-	1,061	-	-	-
2200	Other payables	6(14)	382,180	9	304,614	7	361,016	8
2220	Other payables to related parties	7	223	-	219	-	210	-
2230	Current income tax liabilities		6,339	-	9,423	-	20,403	-
2280	Lease liabilities - current	7	26,075	1	25,700	1	23,011	1
2320	Long-term borrowings - current	6(15)	50,000	1	57,633	1	166,536	4
2399	Other current liabilities		2,432	-	2,151	-	2,847	-
21XX	Total current liabilities		1,112,541	25	935,846	21	1,189,917	26
Non-current liabilities								
2540	Long-term borrowings	6(15)	175,000	4	200,000	5	281,675	6
2570	Deferred income tax liabilities		167,968	4	205,899	5	275,304	6
2580	Lease liabilities - non-current	7	35,626	1	29,297	1	29,757	1
2600	Other non-current liabilities		6,653	-	6,047	-	5,765	-
25XX	Total non-current liabilities		385,247	9	441,243	11	592,501	13
2XXX	Total liabilities		1,497,788	34	1,377,089	32	1,782,418	39
Equity								
Equity attributable to owners of the parent								
Share capital								
3110	Ordinary share	6(17)	892,631	20	892,631	20	892,631	19
Capital surplus								
3200	Capital surplus	6(18)	1,622,130	37	1,666,262	38	1,666,262	36
Retained earnings								
3310	Legal reserve	6(19)	151,775	4	143,906	3	143,906	3
3320	Special reserve		369,917	8	362,837	8	362,837	8
3350	(Accumulated deficit)							
	unappropriated retained earnings		(27,507)	(1)	59,289	1	(8,378)	-
Other equity interest								
3400	Other equity interest	6(20)	(286,499)	(6)	(369,916)	(8)	(378,911)	(8)
3500	Treasury shares	6(17)	(25,619)	(1)	-	-	-	-
31XX	Equity attributable to owners of the parent		2,696,828	61	2,755,009	62	2,678,347	58
36XX	Non-controlling interests		246,406	5	252,239	6	153,208	3
3XXX	Total equity		2,943,234	66	3,007,248	68	2,831,555	61
Significant contingent liabilities and unrecognised contract commitments								
3X2X	Total liabilities and equity	9	\$ 4,441,022	100	\$ 4,384,337	100	\$ 4,613,973	100

The accompanying notes are an integral part of these consolidated financial statements.

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME
SIX MONTHS ENDED JUNE 30, 2024 AND 2023
(In thousands of New Taiwan dollars except for (loss) earnings per share amount)
(UNAUDITED)

Items	Notes	Three months ended June 30				Six months ended June 30			
		2024		2023		2024		2023	
		AMOUNT	%	AMOUNT	%	AMOUNT	%	AMOUNT	%
4000 Operating revenue	6(21) and 7	\$ 789,765	100	\$ 849,280	100	\$ 1,549,430	100	\$ 1,545,837	100
5000 Operating costs	6(7)(26)(27)	(675,668)	(85)	(699,438)	(83)	(1,323,792)	(86)	(1,279,299)	(83)
5900 Gross profit		114,097	15	149,842	17	225,638	14	266,538	17
Operating expenses	6(26)(27) and 7								
6100 Selling and marketing expenses		(34,799)	(5)	(26,548)	(3)	(70,897)	(5)	(51,073)	(3)
6200 General and administrative expenses		(79,233)	(10)	(75,465)	(9)	(158,188)	(10)	(152,042)	(10)
6300 Research and development expenses		(16,927)	(2)	(15,419)	(2)	(34,079)	(2)	(25,294)	(2)
6450 Impairment loss	12(2)	(376)	-	(1,421)	-	(4,366)	-	(1,854)	-
6000 Total operating expenses		(131,335)	(17)	(118,853)	(14)	(267,530)	(17)	(230,263)	(15)
6900 Net operating (loss) profit		(17,238)	(2)	30,989	3	(41,892)	(3)	36,275	2
Non-operating income and expenses									
7100 Interest income	6(22)	6,325	1	7,668	1	12,463	1	15,138	1
7010 Other income	6(23)	3,448	-	2,045	-	6,126	-	4,294	-
7020 Other gains and losses	6(24)	(5,184)	(1)	(525)	-	4,814	-	22	-
7050 Finance costs	6(25) and 7	(1,782)	-	(2,743)	-	(3,584)	-	(5,349)	-
7060 Share of loss of associates accounted for under equity method	6(8)	-	-	-	-	-	-	(1,757)	-
7000 Total non-operating income and expenses		2,807	-	6,445	1	19,819	1	12,348	1
7900 (Loss) profit before income tax		(14,431)	(2)	37,434	4	(22,073)	(2)	48,623	3
7950 Income tax expense	6(28)	(472)	-	(20,991)	(2)	(19,417)	(1)	(46,637)	(3)
8200 (Loss) profit for the year		<u>(\$ 14,903)</u>	<u>(2)</u>	<u>\$ 16,443</u>	<u>2</u>	<u>(\$ 41,490)</u>	<u>(3)</u>	<u>\$ 1,986</u>	<u>-</u>
Other comprehensive income (loss)									
Components of other comprehensive income (loss) that will not be reclassified to profit or loss									
8316 Unrealized losses from investments in equity instruments measured at fair value through other comprehensive income	6(3)	-	-	-	-	-	-	7,906	1
Components of other comprehensive income (loss) that will be reclassified to profit or loss									
8361 Financial statements translation differences of foreign operations		10,709	1	(49,699)	(6)	91,359	6	(43,462)	(3)
8300 Other comprehensive loss for the year		<u>\$ 10,709</u>	<u>1</u>	<u>(\$ 49,699)</u>	<u>(6)</u>	<u>\$ 91,359</u>	<u>6</u>	<u>(\$ 35,556)</u>	<u>(2)</u>
8500 Total comprehensive income (loss) for the year		<u>(\$ 4,194)</u>	<u>(1)</u>	<u>(\$ 33,256)</u>	<u>(4)</u>	<u>\$ 49,869</u>	<u>3</u>	<u>(\$ 35,570)</u>	<u>(2)</u>
(Loss) profit attributable to:									
8610 Owners of the parent		(\$ 7,395)	(1)	\$ 22,882	3	(\$ 27,715)	(2)	\$ 11,023	1
8620 Non-controlling interests		(7,508)	(1)	(6,439)	(1)	(13,775)	(1)	(9,037)	(1)
		<u>(\$ 14,903)</u>	<u>(2)</u>	<u>\$ 16,443</u>	<u>2</u>	<u>(\$ 41,490)</u>	<u>(3)</u>	<u>\$ 1,986</u>	<u>-</u>
Comprehensive income (loss) attributable to:									
8710 Owners of the parent		\$ 2,511	-	(\$ 28,815)	(3)	\$ 55,702	3	(\$ 25,346)	(1)
8720 Non-controlling interests		(6,705)	(1)	(4,441)	(1)	(5,833)	-	(8,224)	(1)
		<u>(\$ 4,194)</u>	<u>(1)</u>	<u>\$ 33,256</u>	<u>(4)</u>	<u>\$ 49,869</u>	<u>3</u>	<u>(\$ 33,570)</u>	<u>(2)</u>
(Loss) earnings per share (in dollars)									
9750 Basic (loss) earnings per share	6(29)	<u>(\$ 0.08)</u>		<u>\$ 0.25</u>		<u>(\$ 0.31)</u>		<u>\$ 0.12</u>	
9850 Diluted (loss) earnings per share		<u>(\$ 0.08)</u>		<u>\$ 0.25</u>		<u>(\$ 0.31)</u>		<u>\$ 0.12</u>	

The accompanying notes are an integral part of these consolidated financial statements.

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY
FOR THE SIX MONTHS ENDED JUNE 30, 2024 AND 2023
(In thousands of New Taiwan dollars)
(UNAUDITED)

Equity attributable to owners of the parent											

The accompanying notes are an integral part of these consolidated financial statements.

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CASH FLOWS
FOR THE SIX MONTHS ENDED JUNE 30, 2024 AND 2023
(In thousands of New Taiwan dollars)
(UNAUDITED)

		Six months ended June 30	
	Notes	2024	2023
CASH FLOWS FROM OPERATING ACTIVITIES			
Profit (loss) before tax		(\$ 22,073)	\$ 48,623
Adjustments			
Adjustments to reconcile profit (loss)			
Depreciation charges on property, plant, and equipment	6(9)(26)	71,253	65,009
Depreciation charges on right-of-use assets	6(10)(26)	16,069	15,577
Expected credit loss	12(2)	4,366	1,854
Amortization charges	6(26)	7,516	4,850
Interest income	6(22)	(12,463)	(15,138)
Gain on disposal of associates accounted for under equity method	6(8)(24)	-	(3,542)
Gain on disposal of property, plant, and equipment	6(24)	(1,890)	(3,442)
Impairment loss recognized in profit or loss, property, plant and equipment	6(24)	2,263	-
Loss on financial assets and liabilities at fair value through profit or loss	6(2)(24)	20,794	20,068
Interest expense	6(25)	3,584	5,349
Share of loss of associates accounted for under equity method	6(8)	-	1,757
Changes in operating assets and liabilities			
Changes in operating assets			
Notes receivable		20,130	(3,142)
Accounts receivable		66,664	(107,560)
Accounts receivable to related parties		884	-
Other receivables	(	13,026)	(2,144)
Inventories	(	42,535)	28,944
Other current assets	(	6,224)	(12,998)
Net defined benefit asset	(	57)	(69)
Changes in operating liabilities			
Contract liabilities - current		8,699	(2,345)
Accounts payable		80,851	85,089
Accounts payable to related parties	(	1,059)	(14)
Other payables	(	33,224)	(4,598)
Other payables to related parties		4	(38)
Other current liabilities		268	(501)
Other non-current liabilities		423	427
Cash inflow generated from operations		171,217	122,016
Interest received		8,917	17,202
Interest paid	(	2,757)	(4,700)
Income tax paid	(	50,338)	(88,784)
Net cash flows from operating activities		127,039	45,734

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JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CASH FLOWS
FOR THE SIX MONTHS ENDED JUNE 30, 2024 AND 2023
(In thousands of New Taiwan dollars)
(UNAUDITED)

	<u>Notes</u>	<u>Six months ended June 30</u>	
		<u>2024</u>	<u>2023</u>
<u>CASH FLOWS FROM INVESTING ACTIVITIES</u>			
Acquisition of financial assets at amortized cost		\$ -	(\$ 17,646)
Proceeds from disposal of financial assets at amortized cost		60,426	53,009
Increase in financial assets at fair value through profit or loss		(18,236)	(14,008)
Acquisition of financial assets at fair value through other comprehensive income (loss)	6(3)	(5,500)	-
Disposal of financial assets at fair value through other comprehensive income (loss)	6(3)	-	7,906
The acquisition of subsidiaries (net of cash acquired)		-	(31,771)
Acquisition of property, plant, and equipment	6(31)	(65,630)	(97,258)
Disposal of property, plant, and equipment		4,404	4,511
Decrease in guarantee deposits paid		3	776
Decrease (increase) in prepayments for equipment		(70,257)	1,691
Net cash flows used in investing activities		(94,790)	(92,790)
<u>CASH FLOWS FROM FINANCING ACTIVITIES</u>			
Proceeds from short-term borrowings		250,000	280,000
Repayments of short-term borrowings		(250,000)	(295,000)
Repayments of long-term borrowings	6(32)	(32,633)	(33,347)
Decrease in guarantee deposits received	6(32)	161	-
Payments of lease liabilities	6(32)	(9,290)	(15,176)
Purchase of treasury shares	6(17)	(25,619)	-
Net cash flows used in financing activities		(67,381)	(63,523)
Effect of exchange rate changes on cash and cash equivalents		19,933	(22,912)
Net decrease in cash and cash equivalents		(15,199)	(133,491)
Cash and cash equivalents at beginning of period		1,223,585	1,711,918
Cash and cash equivalents at end of period		<u>\$ 1,208,386</u>	<u>\$ 1,578,427</u>

The accompanying notes are an integral part of these consolidated financial statements.

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
FOR THE SIX MONTHS ENDED JUNE 30, 2024 AND 2023
(In thousands of New Taiwan dollars, except as otherwise indicated)
(UNAUDITED)

1. History and Organization

Jochu Technology Co., Ltd. (the “Company”) was incorporated in June 2000 under the provisions of the Company Act of the Republic of China (R.O.C.). The Company and its subsidiaries (the “Group”) are primarily engaged in manufacturing and selling of optoelectronic components, stamping molds, metal furniture, medical devices, and related international trading business. On April 17, 2006 and December 31, 2005, the Company merged with Yourui Precision Technology Co., Ltd. (“Yourui”) and Jingrong Machinery Co., Ltd. (“Jingrong”), respectively. The Company was the surviving company, while Yourui and Jingrong were the merged companies. The Company has been listed on the Taiwan Stock Exchange since April 2020.

2. The Date of Authorisation for Issuance of the Financial Statements and Procedures for Authorisation

These consolidated financial statements were authorized for issuance by the Board of Directors on August 13, 2024.

3. Application of New Standards, Amendments and Interpretations

(1) Effect of the adoption of new issuances of or amendments to International Financial Reporting Standards (“IFRS”) that came into effect as endorsed by the Financial Supervisory Commission (“FSC”)

New standards, interpretations and amendments endorsed by the FSC and became effective from 2024 are as follows:

<u>New Standards, Interpretations and Amendments</u>	<u>Effective date by International Accounting Standards Board</u>
Amendments to IFRS 16, ‘Lease liability in a sale and leaseback’	January 1, 2024
Amendments to IAS 1, ‘Classification of liabilities as current or noncurrent’	January 1, 2024
Amendments to IAS 1, ‘Non-current liabilities with covenants’	January 1, 2024
Amendments to IAS 7 and IFRS 7, ‘Supplier finance arrangements’	January 1, 2024

The above standards and interpretations have no significant impact to the Group’s financial condition and financial performance based on the Group’s assessment.

(2) Effect of new issuances of or amendments to IFRSs as endorsed by the FSC but not yet adopted by the Group

New standards, interpretations and amendments endorsed by the FSC and will become effective from 2025 are as follows:

<u>New Standards, Interpretations and Amendments</u>	<u>Effective date by IASB</u>
Amendments to IAS 21, 'Lack of exchangeability'	January 1, 2025

The above standards and interpretations have no significant impact to the Group's financial condition and financial performance based on the Group's assessment.

(3) IFRSs issued by International Accounting Standards Board ("IASB") but not yet endorsed by the FSC

New standards, interpretations and amendments issued by IASB but not yet included in the IFRSs as endorsed by the FSC are as follows:

<u>New Standards, Interpretations and Amendments</u>	<u>Effective date by IASB</u>
Amendments to IFRS 9 and IFRS 7, 'Amendments to the classification and measurement of financial Instruments'	January 1, 2026
Amendments to IFRS 10 and IAS 28, 'Sale or contribution of assets between an investor and its associate or joint venture'	To be determined by IASB
IFRS 17, 'Insurance contracts'	January 1, 2023
Amendments to IFRS 17, 'Insurance contracts'	January 1, 2023
Amendments to IFRS 17, 'Initial application of IFRS 17 and IFRS 9 – comparative information'	January 1, 2023
IFRS 18, 'Presentation and disclosure in financial statements'	January 1, 2027
IFRS 19, 'Subsidiaries without public accountability: disclosures'	January 1, 2027
Annual Improvements to IFRS Accounting Standards—Volume 11	January 1, 2026

Except for the following, the above standards and interpretations have no significant impact to the Group's financial condition and financial performance based on the Group's assessment.

IFRS 18, 'Presentation and disclosure in financial statements'

IFRS 18, 'Presentation and disclosure in financial statements' replaces IAS 1. The standard introduces a defined structure of the statement of profit or loss, disclosure requirements related to management-defined performance measures, and enhanced principles on aggregation and disaggregation which apply to the primary financial statements and notes.

4. Summary of Significant Accounting Policies

Except for the compliance statement, basis of preparation and basis of consolidation set out below, the rest of the significant accounting policies applied in the preparation of these consolidated financial statements are the same as those disclosed in Note 4 to the consolidated financial statements as of and for the year ended 2023. The policies have been consistently applied to all the periods presented, unless otherwise stated.

(1) Compliance statement

- A. These consolidated financial statements of the Group have been prepared in accordance with the Regulations Governing the Preparation of Financial Reports by Securities Issuers and the International Accounting Standard 34, “Interim Financial Reporting” that came into effect as endorsed by the FSC.
- B. These consolidated financial statements are to be read in conjunction together with the consolidated financial statements for the year ended 2023.

(2) Basis of preparation

- A. Except for the following items, the consolidated financial statements have been prepared under the historical cost convention:
 - (a) Financial assets and financial liabilities (including derivative instruments) at fair value through profit or loss.
 - (b) Financial assets at fair value through other comprehensive income.
 - (c) Defined benefit assets recognized based on the net amount of pension fund assets less present value of defined benefit obligation.
- B. The preparation of financial statements in conformity with International Financial Reporting Standards, International Accounting Standards, IFRIC Interpretations, and SIC Interpretations that came into effect as endorsed by the FSC (collectively referred herein as the “IFRSs”) requires the use of certain critical accounting estimates. It also requires management to exercise its judgment in the process of applying the Group’s accounting policies. The areas involving a higher degree of judgment or complexity, or areas where assumptions and estimates are significant to the consolidated financial statements are disclosed in Note 5.

(3) Basis of consolidation

- A. Basis for preparation of consolidated financial statements:

The basis for preparation of these consolidated financial statements is the same as that for the preparation of the consolidated financial statements for the year ended 2023.

B. Subsidiaries included in the consolidated financial statements:

Name of investor	Name of subsidiary	Main business activities	Ownership (%)			Description
			June 30, 2024	December 31, 2023	June 30, 2023	
The Company	JOCHU INVESTMENT LTD. (JOCHU BVI)	Investment holding	100%	100%	100%	
	LEGIUN TECHNOLOGY CO., LTD. (LEGIUN)	Sales of medical devices	100%	100%	100%	
	eBio International Co., Ltd. (eBio International)	Investment holding	52.02%	52.02%	52.02%	Note1
	JOCHU BVI SUZHOU JOCHU PRECISION METAL CO., LTD. (SUZHOU JOCHU)	Production and sales of optoelectronic components, stamping molds, and related international trading business	100%	100%	100%	
	JOCHU GLOBAL INVESTMENT (CAYMAN) LTD. (JOCHU GLOBAL)	Investment holding	100%	100%	100%	

Name of investor	Name of subsidiary	Main business activities	Ownership (%)			Description
			June 30, 2024	December 31, 2023	June 30, 2023	
JOCHU BVI	PROSPERITY INVESTMENT HOLDING PTE. LTD. (PIH)	Investment holding	65%	65%	65%	Note2
eBio International	eBio technology Inc.	Research and development, manufacturing of medical electronic devices, biomedical sensors, and integrated design services for healthcare systems.	100%	100%	100%	Note1
JOCHU GLOBAL	JOCHU INTERNATIONAL L (CAYMAN) LTD. (JOCHU INTERNATIONAL)	Investment holding	100%	100%	100%	
JOCHU INTERNATIONAL	JOCHU TECHNOLOGY (XIAMEN) LTD. (XIAMEN JOCHU)	Investment holding	66.67%	66.67%	66.67%	
PIH	JOCHU VIETNAM	Production and sales of optoelectronic components, stamping molds, and related international trading business	100%	100%	100%	Note3
SUZHOU JOCHU	XIAMEN JOCHU	Production and sales of optoelectronic components, stamping molds, and related international trading business	33.33%	33.33%	33.33%	

Note 1: On February 17, 2023, the Company's Board of Directors resolved to increase investment in eBio International. During the period from February to March of the fiscal year 2023, the Company purchased a portion of shares in eBio International Co., Ltd. for a cash amount of \$59,414, thereby participating in its cash increase plan. As a result, the Company's ownership stake in eBio International Co., Ltd. increased from 9.81% to 52.02%, granting control over the company.

Note 2: In October 2023, the Company resolved the capital injection in PIH amounting to US\$10,000 thousand, and the Company injected US\$6,500 thousand through JOCHU BVI. As a result, the Company's shareholding in PIH increased to 65%.

Note 3: In October 2023, the Company resolved the capital injection in JOCHU VIETNAM through JOCHU BVI and PIH amounting to US\$6,500 thousand. As a result, the Company's shareholding in JOCHU VIETNAM increased to 65%.

C. Subsidiaries not included in the consolidated financial statements: None.

D. Adjustments for subsidiaries with different balance sheet dates: None.

E. Significant restrictions: None.

F. Subsidiaries that have non-controlling interests that are material to the Group: None.

(4) Treasury shares

Where the Company repurchases the Company's equity share capital that has been issued, the consideration paid, including any directly attributable incremental costs (net of income taxes) is deducted from equity attributable to the Company's equity holders. Where such shares are subsequently reissued, the difference between their book value and any consideration received, net of any directly attributable incremental transaction costs and the related income tax effects, is included in equity attributable to the Company's equity holders.

(5) Employee benefits

Pension cost for the interim period is calculated on a year-to-date basis by using the pension cost rate derived from the actuarial valuation at the end of the prior financial year, adjusted for significant market fluctuations since that time and for significant curtailments, settlements, or other significant one-off events. Also, the related information is disclosed accordingly.

(6) Income tax

A. The interim period income tax expense is recognized based on the estimated average annual effective income tax rate expected for the full financial year applied to the pretax income of the interim period, and the related information is disclosed accordingly.

B. If a change in tax rate is enacted or substantively enacted in an interim period, the Group recognises the effect of the change immediately in the interim period in which the change occurs. The effect of the change on items recognised outside profit or loss is recognised in other comprehensive income or equity while the effect of the change on items recognised in profit or loss is recognised in profit or loss.

5. Critical Accounting Judgments, Estimates and Key Sources of Assumption Uncertainty

The additional disclosures are set out below. For the rest of the information, please refer to Note 5 in the consolidated financial statements for the year ended 2023.

6. Details of Significant Accounts

(1) Cash and cash equivalents

	<u>June 30, 2024</u>	<u>December 31, 2023</u>	<u>June 30, 2023</u>
Cash on hand and petty cash	\$ 463	\$ 420	\$ 650
Checking accounts and demand deposits	363,184	408,996	290,002
Time deposits	844,739	814,169	1,287,775
	<u>\$ 1,208,386</u>	<u>\$ 1,223,585</u>	<u>\$ 1,578,427</u>

A. The Group transacts with a variety of financial institutions all with high credit quality to disperse credit risk, so it expects that the probability of counterparty default is remote.

B. The Group has no cash and cash equivalents pledged to others.

(2) Financial assets and liabilities at fair value through profit or loss

	<u>June 30, 2024</u>	<u>December 31, 2023</u>	<u>June 30, 2023</u>
Current items:			
Financial assets mandatorily measured at fair value through profit or loss			
Forward foreign exchange contracts	\$ 204	\$ 7,870	\$ -
Non-current items:			
Financial assets mandatorily measured at fair value through profit or loss			
Private equity fund	\$ 30,000	\$ 21,000	\$ 21,000
Valuation adjustment	2,920	4,103	1,780
	<u>\$ 32,920</u>	<u>\$ 25,103</u>	<u>\$ 22,780</u>
Current items:			
Financial liabilities mandatorily measured at fair value through profit or loss			
Forward foreign exchange contracts	\$ 2,574	\$ -	\$ 18,961

A. Amounts recognized in profit or loss in relation to financial assets and liabilities at fair value through profit or loss are listed below:

		<u>Three months ended June 30,</u>	
		<u>2024</u>	<u>2023</u>
Financial assets and liabilities mandatorily measured at fair value through profit or loss			
Forward foreign exchange contracts	(\$	8,475)	(\$ 24,681)
Private equity fund		203	357
	(\$	<u>8,272</u>)	(\$ <u>24,324</u>)
		<u>Six months ended June 30,</u>	
		<u>2024</u>	<u>2023</u>
Financial assets and liabilities mandatorily measured at fair value through profit or loss			
Forward foreign exchange contracts	(\$	19,611)	(\$ 21,388)
Private equity fund	(	1,183)	1,320
	(\$	<u>20,794</u>)	(\$ <u>20,068</u>)

B. The Group entered into contracts relating to derivative financial assets which were not accounted for under hedge accounting. The information is listed below:

		<u>June 30, 2024</u>	
		Contract amount	
		(notional principal)	
Derivative financial			
Instruments		(in thousands)	Maturity date
Current items:			
Forward foreign exchange contracts			
Sell USD Buy RMB	USD	14,470	2024.07.01~2025.01.24
Sell USD Buy NTD	USD	4,060	2024.07.10~2024.09.10
		<u>December 31, 2023</u>	
		Contract amount	
		(notional principal)	
Derivative financial			
Instruments		(in thousands)	Maturity date
Current items:			
Forward foreign exchange contracts			
Sell USD Buy RMB	USD	13,100	2024.01.01~2024.07.30
Sell USD Buy NTD	USD	4,060	2024.01.10~2024.03.11

Derivative financial Instruments	June 30, 2023	
	Contract amount (notional principal)	Maturity date
	(in thousands)	

Current items:

Forward foreign exchange contracts

Sell USD Buy RMB USD 11,710 2023.07.26~2024.01.30

Sell USD Buy NTD USD 3,410 2023.07.10~2023.09.08

The Group entered into forward foreign exchange contracts to sell USD to hedge exchange rate fluctuations of foreign currency denominated assets and liabilities. However, these forward foreign exchange contracts are not accounted for under hedge accounting.

C. The Group had no financial assets at fair value through profit or loss pledged to others as collateral.

D. The Group transacts with a variety of financial institutions all with high credit quality to disperse credit risk, so it expects that the probability of counterparty default is remote.

(3) Financial assets at fair value through other comprehensive income (loss)

Items	June 30, 2024	December 31, 2023	June 30, 2023
Non-current items:			
Equity instruments			
Unlisted stocks			
W Company	\$ 3,245	\$ 3,070	\$ 3,114
Y Company	3,000	-	-
B Company	2,500	-	-
	<u>\$ 8,745</u>	<u>\$ 3,070</u>	<u>\$ 3,114</u>

A. The Group has elected to classify equity instruments that are considered to be strategic investments as financial assets at fair value through other comprehensive income. As at June 30, 2024, December 31, 2023 and June 30, 2023, the fair value of such investments were the same as the book value.

B. Amounts recognized in other comprehensive income in relation to the financial assets at fair value through other comprehensive income are listed below:

	Six months ended June 30,	
	2024	2023
Equity instruments at fair value through other comprehensive income (loss)		
Fair value changes recognized in other comprehensive income	\$ -	\$ 7,906
Cumulative losses reclassified to retained earnings due to derecognition of financial assets	\$ -	\$ 20,294

C. The Group had no financial assets at fair value through other comprehensive income pledged to others as collateral.

(4) Financial assets at amortized cost

Items	June 30, 2024	December 31, 2023	June 30, 2023
Current items:			
Restricted assets	\$ 273	\$ 694	\$ 431
Time deposits with original maturity period of more than three months	<u>133,759</u>	<u>186,551</u>	<u>17,238</u>
	<u>\$ 134,032</u>	<u>\$ 187,245</u>	<u>\$ 17,669</u>
Non-current item:			
Restricted assets	<u>\$ -</u>	<u>\$ 399</u>	<u>\$ 406</u>

A. Amounts recognized in profit or loss in relation to financial assets at amortized cost are listed below:

	Three months ended June 30,	
	2024	2023
Interest income	<u>\$ 1,855</u>	<u>\$ 38</u>

	Six months ended June 30,	
	2024	2023
Interest income	<u>\$ 4,105</u>	<u>\$ 354</u>

B. As at June 30, 2024, December 31, 2023 and June 30, 2023, without taking into account any collateral held or other credit enhancements, the maximum exposure to credit risk in respect of the amount that best represents the financial assets at amortized cost held by the Group was the book value at the balance sheet date.

C. Details of the Group's financial assets at amortized cost pledged to others as collateral are provided in Note 8.

D. The counterparties of the Group's investments in certificates of deposits are financial institutions with high credit quality, so the Group expects that the probability of counterparty default is remote.

(5) Notes and accounts receivable

	June 30, 2024	December 31, 2023	June 30, 2023
Notes receivable	<u>\$ 13,170</u>	<u>\$ 31,977</u>	<u>\$ 32,064</u>
Accounts receivable	<u>\$ 1,112,585</u>	<u>\$ 1,132,344</u>	<u>\$ 1,090,747</u>
Less: Allowance for uncollectible accounts	<u>(5,307)</u>	<u>(578)</u>	<u>(3,353)</u>
	<u>\$ 1,107,278</u>	<u>\$ 1,131,766</u>	<u>\$ 1,087,394</u>

A. As at June 30, 2024, December 31, 2023 and June 30, 2023, notes receivable and accounts receivable were all from contracts with customers. As at January 1, 2023, the balance of receivables from contracts with customers amounted to \$1,033,763.

B. The ageing analysis of notes receivable and accounts receivable is as follows:

		June 30, 2024	
		Notes receivable	Accounts receivable
Not past due	\$	13,170	\$ 1,071,483
Up to 90 days		-	35,795
Over 91 days		-	5,307
	\$	<u>13,170</u>	<u>\$ 1,112,585</u>

		December 31, 2023		June 30, 2023	
		Notes receivable	Accounts receivable	Notes receivable	Accounts receivable
Not past due	\$	31,977	\$ 1,087,415	\$ 32,064	\$ 1,056,226
Up to 90 days		-	44,351	-	31,168
Over 91 days		-	578	-	3,353
	\$	<u>31,977</u>	<u>\$ 1,132,344</u>	<u>\$ 32,064</u>	<u>\$ 1,090,747</u>

The above ageing analysis was based on past due date.

C. As at June 30, 2024, December 31, 2023 and June 30, 2023, without taking into account any collateral held or other credit enhancements, the maximum exposure to credit risk in respect of the amount that best represents the Group's notes and accounts receivable were the book value at the balance sheet date.

D. Information relating to credit risk of notes receivable and accounts receivable is provided in Note 12(2).

(6) Other receivables

	June 30, 2024	December 31, 2023	June 30, 2023
Receipts under custody - Molds	\$ 100,436	\$ 71,603	\$ 94,279
Molds receivable	7,325	19,285	12,909
Interest receivable	6,830	3,188	7,637
Others	<u>1,377</u>	<u>598</u>	<u>47</u>
	115,968	94,674	114,872
Less: Allowance for other receivables	(6,015)	(6,007)	-
	<u>\$ 109,953</u>	<u>\$ 88,667</u>	<u>\$ 114,872</u>

(7) Inventories

	<u>June 30, 2024</u>	<u>December 31, 2023</u>	<u>June 30, 2023</u>
Raw materials	\$ 97,498	\$ 87,455	\$ 96,319
Work in progress	60,173	47,541	38,277
Finished goods	<u>145,183</u>	<u>124,355</u>	<u>145,647</u>
	302,854	259,351	280,243
Less: Allowance for valuation loss	(54,449)	(58,866)	(55,963)
	<u>\$ 248,405</u>	<u>\$ 200,485</u>	<u>\$ 224,280</u>

The cost of inventories recognized as expense for the year:

	<u>Three months ended June 30,</u>	
	<u>2024</u>	<u>2023</u>
Cost of inventories sold	\$ 691,913	\$ 717,498
Gain on decline in market value	(1,847)	(885)
Loss on disposal of inventory	5,342	4,306
Revenue from sale of scraps	(19,740)	(21,481)
	<u>\$ 675,668</u>	<u>\$ 699,438</u>

	<u>Six months ended June 30,</u>	
	<u>2024</u>	<u>2023</u>
Cost of inventories sold	\$ 1,354,038	\$ 1,311,354
Gain on decline in market value	(5,464)	(5,037)
Loss on disposal of inventory	12,990	9,344
Revenue from sale of scraps	(37,772)	(36,362)
	<u>\$ 1,323,792</u>	<u>\$ 1,279,299</u>

During the period from January 1 to June 30, 2024 and 2023, the Group realized recovery gains as a result of the sale and put into production of previously impaired and stagnant inventory.

(8) Investments accounted for under equity method

	<u>2024</u>		<u>2023</u>
At January 1	\$ -	\$	8,442
Disposal of investments accounted for under equity method	-	(	6,685)
Share of loss of investments accounted for under equity method	-	(	1,757)
At June 30	<u>\$ -</u>	\$	<u>-</u>

	<u>June 30, 2024</u>	<u>December 31, 2023</u>	<u>June 30, 2023</u>
Associate:			
eBio International Co., Ltd.	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>

During the period from February to March of the fiscal year 2023, the company purchased a portion of shares in eBio International Co., Ltd. for a cash amount of \$59,414, thereby participating in its cash increase plan. As a result, the company's ownership stake in eBio International Co., Ltd. increased from 9.81% to 52.02%, granting control over the company. In accordance with IFRS 3 "Business Combinations," the previously held equity interest in eBio International Co., Ltd. was remeasured at fair value as of the acquisition date, resulting in a disposal gain of \$3,542, which was recognized in profit and loss.

(9) Property, plant and equipment

	2024								
	Land	Buildings and structures	Machinery and equipment	Transportation equipment	Office equipment	Leasehold improvements	Other equipment	Construction in progress	Total
At January 1									
Cost	\$ 313,143	\$ 1,102,390	\$ 1,010,751	\$ 24,952	\$ 14,318	\$ 17,351	\$ 183,765	\$ 723	\$ 2,667,393
Accumulated depreciation	-	(534,877)	(803,275)	(19,171)	(12,694)	(12,733)	(154,183)	-	(1,536,933)
Accumulated impairment	-	(14,674)	(14,209)	-	-	-	-	-	(28,883)
	<u>\$ 313,143</u>	<u>\$ 552,839</u>	<u>\$ 193,267</u>	<u>\$ 5,781</u>	<u>\$ 1,624</u>	<u>\$ 4,618</u>	<u>\$ 29,582</u>	<u>\$ 723</u>	<u>\$ 1,101,577</u>
Opening net book amount as at January 1	\$ 313,143	\$ 552,839	\$ 193,267	\$ 5,781	\$ 1,624	\$ 4,618	\$ 29,582	\$ 723	\$ 1,101,577
Additions	-	9,068	28,823	-	492	2,414	10,188	28,327	79,312
Disposal	-	(1,344)	(1,170)	-	-	-	-	-	(2,514)
Depreciation charge	-	(27,087)	(31,849)	(1,277)	(522)	(839)	(9,679)	-	(71,253)
Impairment loss	-	-	(2,263)	-	-	-	-	-	(2,263)
Reclassifications	-	4,086	24,467	-	53	-	2,507	7,010	38,123
Net exchange differences	-	15,484	7,934	267	11	-	991	262	24,949
Closing net book amount as at June 30	<u>\$ 313,143</u>	<u>\$ 553,046</u>	<u>\$ 219,209</u>	<u>\$ 4,771</u>	<u>\$ 1,658</u>	<u>\$ 6,193</u>	<u>\$ 33,589</u>	<u>\$ 36,322</u>	<u>\$ 1,167,931</u>
At June 30									
Cost	\$ 313,143	\$ 1,141,037	\$ 1,039,531	\$ 25,875	\$ 13,844	\$ 19,765	\$ 196,048	\$ 36,322	\$ 2,785,565
Accumulated depreciation	-	(573,317)	(803,850)	(21,104)	(12,186)	(13,572)	(162,459)	-	(1,586,488)
Accumulated impairment	-	(14,674)	(16,472)	-	-	-	-	-	(31,146)
	<u>\$ 313,143</u>	<u>\$ 553,046</u>	<u>\$ 219,209</u>	<u>\$ 4,771</u>	<u>\$ 1,658</u>	<u>\$ 6,193</u>	<u>\$ 33,589</u>	<u>\$ 36,322</u>	<u>\$ 1,167,931</u>

2023									
	Land	Buildings and structures	Machinery and equipment	Transportation equipment	Office equipment	Leasehold improvements	Other equipment	Construction in progress	Total
At January 1									
Cost	\$ 313,143	\$ 903,115	\$ 995,083	\$ 21,269	\$ 11,823	\$ 14,404	\$ 160,450	\$ 188,108	\$ 2,607,395
Accumulated depreciation	-	(492,718)	(822,822)	(18,862)	(10,610)	(11,436)	(140,471)	-	(1,496,919)
Accumulated impairment	-	(14,674)	(14,947)	-	-	-	-	-	(29,621)
	<u>\$ 313,143</u>	<u>\$ 395,723</u>	<u>\$ 157,314</u>	<u>\$ 2,407</u>	<u>\$ 1,213</u>	<u>\$ 2,968</u>	<u>\$ 19,979</u>	<u>\$ 188,108</u>	<u>\$ 1,080,855</u>
Opening net book amount as at January 1	\$ 313,143	\$ 395,723	\$ 157,314	\$ 2,407	\$ 1,213	\$ 2,968	\$ 19,979	\$ 188,108	\$ 1,080,855
Additions	-	23,404	57,518	3,863	198	-	17,453	7,223	109,659
Acquisition of business	-	-	3,321	-	461	-	1,478	-	5,260
Transfer	-	178,613	8,269	-	-	-	-	(186,882)	-
Disposal	-	(41)	(869)	(159)	-	-	-	-	(1,069)
Depreciation charge	-	(24,908)	(30,529)	(983)	(486)	(566)	(7,537)	-	(65,009)
Net exchange differences	-	(1,646)	(1,104)	(100)	(5)	(1)	(401)	(1,144)	(4,401)
Closing net book amount as at June 30	<u>\$ 313,143</u>	<u>\$ 571,145</u>	<u>\$ 193,920</u>	<u>\$ 5,028</u>	<u>\$ 1,381</u>	<u>\$ 2,401</u>	<u>\$ 30,972</u>	<u>\$ 7,305</u>	<u>\$ 1,125,295</u>
At June 30									
Cost	\$ 313,143	\$ 1,092,020	\$ 984,969	\$ 23,628	\$ 13,266	\$ 14,404	\$ 177,205	\$ 7,305	\$ 2,625,940
Accumulated depreciation	-	(506,201)	(776,841)	(18,600)	(11,885)	(12,003)	(146,233)	-	(1,471,763)
Accumulated impairment	-	(14,674)	(14,208)	-	-	-	-	-	(28,882)
	<u>\$ 313,143</u>	<u>\$ 571,145</u>	<u>\$ 193,920</u>	<u>\$ 5,028</u>	<u>\$ 1,381</u>	<u>\$ 2,401</u>	<u>\$ 30,972</u>	<u>\$ 7,305</u>	<u>\$ 1,125,295</u>

- A. Amount of borrowing costs capitalized as part of property, plant and equipment and the range of the interest rates for such capitalization: None.
- B. The significant components of buildings and structures include main plants and engineering systems, which are depreciated over 15~36 years and 5~25 years, respectively.
- C. The Group has recognized impairment losses of \$2,263 for the six months ended June 30, 2024, due to the fact that the recoverable amount of certain property, plant and equipment used for the production of certain products, as part of a product transformation plan, is lower than their carrying amount.
- D. Information about the property, plant and equipment that were pledged to others as collateral is provided in Note 8.
- E. The amount of reclassifications for the six months ended June 30, 2024 was reclassified from other non-current assets to property, plant and equipment.

(10) Leasing arrangements — lessee

- A. The Group leases various assets including land, buildings, business vehicles, and multifunction printers. Rental contracts for land are typically made for periods of 46 to 50 years, while the others are made for periods of 1 to 5 years. Lease terms are negotiated on an individual basis and contain a wide range of different terms and conditions. The lease agreements do not impose covenants, but leased assets may not be used as security for borrowing purposes.
- B. Short-term leases with a lease term of 12 months or less comprise leasing of warehouse, office, and business vehicles. Low-value assets comprise leasing of multifunction printers. The abovementioned leases were excluded from right-of-use assets.
- C. The carrying amount of right-of-use assets and the depreciation charge are as follows:

	Carrying amount		
	June 30, 2024	December 31, 2023	June 30, 2023
Land	\$ 74,112	\$ 72,088	\$ 74,037
Buildings	56,205	55,293	50,605
Business vehicles	3,453	4,234	3,546
	<u>\$ 133,770</u>	<u>\$ 131,615</u>	<u>\$ 128,188</u>

	Depreciation charge	
	Three months ended June 30,	
	2024	2023
Land	\$ 455	\$ 441
Buildings	7,237	7,405
Business vehicles	390	353
	<u>\$ 8,082</u>	<u>\$ 8,199</u>

	Depreciation charge			
	Six months ended June 30,			
	2024		2023	
Land	\$	901	\$	880
Buildings		14,388		13,991
Business vehicles		780		706
	\$	16,069	\$	15,577

D. For the three months and six months ended June 30, 2024 and 2023, the additions to right-of-use assets were \$0, \$0, \$14,356 and \$44,436, respectively.

E. The information on profit and loss accounts relating to lease contracts is as follows:

	Three months ended June 30,			
	2024		2023	
<u>Items affecting profit or loss</u>				
Interest expense on lease liabilities	\$	409	\$	349
Expense on short-term lease contracts		2,707		2,456
Expense on leases of low-value assets		13		16
Expense on variable lease payments		127		104
	<u>Six months ended June 30,</u>			
	2024		2023	
<u>Items affecting profit or loss</u>				
Interest expense on lease liabilities	\$	849	\$	669
Expense on short-term lease contracts		5,246		4,853
Expense on leases of low-value assets		30		28
Expense on variable lease payments		302		198

F. For the three months and six months ended June 30, 2024 and 2023, the Group's total cash outflow for leases were \$7,492, \$13,604, \$14,868 and \$20,255, respectively.

G. Variable lease payments

Some of the Group's lease contracts contain variable lease payment terms that are linked to distance and hours which were used. Various lease payments that depend on distance and hours are recognized in profit or loss in the period in which the event or condition that triggers those payments occurs.

(11) Intangible asset

		2024		
		Patent Right	Goodwill	Total
At January 1				
Cost	\$	24,100	\$ 45,247	\$ 69,347
Accumulated amortization	(	1,802)	-	(1,802)
	\$	<u>22,298</u>	<u>\$ 45,247</u>	<u>\$ 67,545</u>
At January 1		\$ 22,298	\$ 45,247	\$ 67,545
Amortization charge	(	1,203)	-	(1,203)
At June 30	\$	<u>21,095</u>	<u>\$ 45,247</u>	<u>\$ 66,342</u>
At June 30				
Cost	\$	24,100	\$ 45,247	\$ 69,347
Accumulated amortization	(	3,005)	-	(3,005)
	\$	<u>21,095</u>	<u>\$ 45,247</u>	<u>\$ 66,342</u>
		2023		
		Patent Right	Goodwill	Total
At January 1				
Cost	\$	-	\$ -	\$ -
Accumulated amortization	-	-	-	-
	\$	<u>-</u>	<u>\$ -</u>	<u>\$ -</u>
At January 1		\$ -	\$ -	\$ -
Acquired in a business combination		105	55,049	55,154
Amortization charge	(	4)	-	(4)
At June 30	\$	<u>101</u>	<u>\$ 55,049</u>	<u>\$ 55,150</u>
At June 30				
Cost	\$	105	\$ 55,049	\$ 55,154
Accumulated amortization	(	4)	-	(4)
	\$	<u>101</u>	<u>\$ 55,049</u>	<u>\$ 55,150</u>

A. The amounts recognized in amortization charge are listed below:

	<u>Three months ended</u> <u>June 30, 2024</u>	<u>Three months ended</u> <u>June 30, 2023</u>
General and administrative expenses	\$ <u>602</u>	\$ <u>4</u>
	<u>Six months ended</u> <u>June 30, 2024</u>	<u>Six months ended</u> <u>June 30, 2023</u>
General and administrative expenses	\$ <u>1,203</u>	\$ <u>4</u>

B. Amount of borrowing costs capitalized as part of intangible assets and the range of the interest rates for such capitalization: None.

C. Goodwill is allocated to the Group's cash-generating units identified by operating segments.

	<u>June 30, 2024</u>	<u>June 30, 2023</u>
Medical businesses	\$ <u>45,247</u>	\$ <u>55,049</u>

D. The recoverable amount is assessed based on value in use which is calculated using pre-tax cash flow forecasts from five-year financial budgets approved by management. The Group's recoverable amount calculated based on value in use exceeds the book value, so no impairment of goodwill has occurred. The key assumptions for the calculation of value in use, please refer to Note 6(10) in the consolidated financial statements for the year ended December 31, 2023.

E. The Group has no intangible assets pledged to others.

F. The information regarding the consideration paid for the acquisition of eBio International Group and recognition of goodwill, please refer to Note 6(30).

(12) Short-term borrowings

<u>Type of borrowings</u>	<u>June 30, 2024</u>	<u>Interest rate range</u>	<u>Collateral</u>
Bank borrowings			
Unsecured borrowings	\$ <u>45,000</u>	2.01%~2.03%	None

<u>Type of borrowings</u>	<u>December 31, 2022</u>	<u>Interest rate range</u>	<u>Collateral</u>
Bank borrowings			
Unsecured borrowings	\$ <u>45,000</u>	1.88%~2.015%	None

<u>Type of borrowings</u>	<u>June 30, 2022</u>	<u>Interest rate range</u>	<u>Collateral</u>
Bank borrowings			
Unsecured borrowings	\$ <u>40,000</u>	1.83%~2.02%	None

(13) Accounts payable

	<u>June 30, 2024</u>	<u>December 31, 2023</u>	<u>June 30, 2023</u>
Accounts payable	\$ <u>522,791</u>	\$ <u>421,454</u>	\$ <u>494,940</u>
Estimated accounts payable	<u>62,146</u>	<u>64,509</u>	<u>61,151</u>
	\$ <u>584,937</u>	\$ <u>485,963</u>	\$ <u>556,091</u>

(14) Other payables

	<u>June 30, 2024</u>	<u>December 31, 2023</u>	<u>June 30, 2023</u>
Salaries and bonus payable	\$ 80,336	\$ 100,009	\$ 75,749
Insurance payable	72,747	71,251	72,307
Payable upon distribution of cash from capital surplus	44,132	-	62,484
Dividends payable	44,132	-	26,779
Mold cost payable	38,636	43,125	36,543
Equipment payable	21,281	11,381	11,762
Repairs and maintenance payable	10,877	14,422	4,349
Employees' compensation and directors' remuneration payable	6,526	6,526	2,039
Packing payable	5,124	2,380	1,721
Freights charges payable	4,818	3,664	6,239
Construction payable	4,409	627	8,947
Consumption fee payable	3,079	3,416	2,723
Others	46,083	47,813	49,374
	<u>\$ 382,180</u>	<u>\$ 304,614</u>	<u>\$ 361,016</u>

(15) Long-term borrowings

<u>Type of borrowings</u>	<u>Borrowing period and repayment term</u>	<u>Interest rate range</u>	<u>Collateral</u>	<u>June 30, 2024</u>
Installment-repayment borrowings				
Secured borrowings	Borrowing period is from December 28, 2021 to December 28, 2028; interest is payable monthly.	1.97%	Please refer to Note 8	\$ 225,000
Less: Current portion				(50,000)
				<u>\$ 175,000</u>
<u>Type of borrowings</u>	<u>Borrowing period and repayment term</u>	<u>Interest rate range</u>	<u>Collateral</u>	<u>December 31, 2023</u>
Installment-repayment borrowings				
Secured borrowings	Borrowing period is from December 28, 2021 to December 28, 2028; interest is payable monthly.	1.85%	Please refer to Note 8	\$ 250,000
Unsecured borrowings	Borrowing period is from May 26, 2020 to July 1, 2025; interest is payable monthly.	2.595%	None	7,633
				<u>257,633</u>
Less: Current portion				(57,633)
				<u>\$ 200,000</u>

<u>Type of borrowings</u>	<u>Borrowing period and repayment term</u>	<u>Interest rate range</u>	<u>Collateral</u>	<u>June 30, 2023</u>
Installment-repayment borrowings				
Secured borrowings	Borrowing period is from June 24, 2020 to December 28, 2028; interest is payable monthly.	1.85%~2.13%	Please refer to Note 8	\$ 380,100
Unsecured borrowings	Borrowing period is from May 26, 2020 to March 1, 2028; interest is payable monthly.	1.83%~3.09%	None	68,111
				<u>448,211</u>
Less: Current portion				<u>(166,536)</u>
				<u>\$ 281,675</u>

(16) Pensions

A. Defined benefit pension plan

- (a) The Company has a defined benefit pension plan in accordance with the Labor Standards Law, covering all regular employees' service years prior to the enforcement of the Labor Pension Act on July 1, 2005 and service years thereafter of employees who chose to continue to be subject to the pension mechanism under the Law. Under the defined benefit pension plan, two units are accrued for each year of service for the first 15 years and one unit for each additional year thereafter, subject to a maximum of 45 units. Pension benefits are based on the number of units accrued and the average monthly salaries and wages of the last 6 months prior to retirement. The Company contributes monthly an amount equal to 2% of the employees' monthly salaries and wages to the retirement fund deposited with Bank of Taiwan, the trustee, under the name of the independent retirement fund committee. Also, the Company would assess the balance in the aforementioned labor pension reserve account by the end of December 31, every year. If the account balance is insufficient to pay the pension calculated by the aforementioned method to the employees expected to qualify for retirement in the following year, the Company will make contributions for the deficit by next March.
- (b) For the aforementioned pension plan, the Group recognized pension costs of (\$28), (\$34), (\$57) and (\$69) for the three months and six months ended June 30, 2024 and 2023, respectively.
- (c) The Company has acquired the approval from the Hsinchu County Government to suspend continuous contribution to the defined benefit pension plan for 2024 and 2023.
- (d) The Company has a long-term employee benefits plan, under which employees are rewarded with a bonus, a certificate of appreciation, or a trophy upon completing every five years of service. For the employee benefits plan, the Company recognised pension costs of \$211, \$214,

\$423 and \$427 for the three months and six months ended June 30, 2024 and 2023, respectively.

B. Defined contribution pension plan

- (a) Effective July 1, 2005, the Company and its domestic subsidiaries have established a defined contribution pension plan (the “New Plan”) under the Labor Pension Act (the “Act”), covering all regular employees with R.O.C. nationality. Under the New Plan, the Company and its domestic subsidiaries contribute monthly an amount based on 6% of the employees’ monthly salaries and wages to the employees’ individual pension accounts at the Bureau of Labor Insurance. The benefits accrued are paid monthly or in lump sum upon termination of employment.
- (b) The Company’s mainland China subsidiaries have a defined contribution plan. Monthly contributions to an independent fund administered by the government in accordance with the pension regulations in the People’s Republic of China (PRC) are based on certain percentage of employees’ monthly salaries and wages. The contribution for each employee was planned by PRC government. Other than the monthly contributions, the Group has no further obligations.
- (c) The pension costs under the defined contribution pension plans of the Group for the three months and six months ended June 30, 2024 and 2023 were \$8,413, \$8,238, \$16,597 and \$15,460, respectively.

(17) Share capital

- A. As of June 30, 2024, the Company’s authorized capital was \$2,000,000, consisting of 200,000 thousand shares of ordinary stock, and the paid-in capital was \$892,631 with a par value of \$10 (in dollars) per share. All proceeds from shares issued have been collected.

Movements in the number of the Company’s ordinary shares in thousands outstanding are as follows:

	<u>2024</u>	<u>2023</u>
At January 1	89,263	89,263
Treasury stock buyback	(<u>1,000</u>)	<u>-</u>
At June 30	<u><u>88,263</u></u>	<u><u>89,263</u></u>

B. Treasury Shares

- (a) The Company's Board of Directors approved a share buyback program on December 22, 2023 to repurchase 1,000 thousand shares during the period from December 25, 2023 to February 23, 2024. The repurchase price range is between NT\$16.65 and NT\$35.35 per share. Details are summarized below:

		June 30, 2024	
<u>Name of company holding the shares</u>	<u>Reason for reacquisition</u>	<u>Number of shares (In thousands)</u>	<u>Carrying amount</u>
The Company	To be reissued to employees	1,000	\$ 25,619
		December 31, 2023	
<u>Name of company holding the shares</u>	<u>Reason for reacquisition</u>	<u>Number of shares (In thousands)</u>	<u>Carrying amount</u>
The Company	To be reissued to employees	-	\$ -

- (b) Pursuant to the R.O.C. Securities and Exchange Act, the number of shares bought back as treasury share should not exceed 10% of the number of the Company's issued and outstanding shares and the amount bought back should not exceed the sum of retained earnings, paid-in capital in excess of par value and realized capital surplus.
- (c) Pursuant to the R.O.C. Securities and Exchange Act, treasury shares should not be pledged as collateral and is not entitled to dividends before it is reissued.
- (d) Pursuant to the R.O.C. Securities and Exchange Act, treasury shares should be reissued to the employees within five years from the reacquisition date and shares not reissued within the five-year period are to be retired. Treasury shares to enhance the Company's credit rating and the stockholders' equity should be retired within six months of acquisition.

(18) Capital surplus

	June 30, 2024	December 31, 2023	June 30, 2023
Share premium	\$ 1,505,856	\$ 1,549,988	\$ 1,549,988
From business combinations	31,797	31,797	31,797
Treasury share transactions	76,571	76,571	76,571
Changes in ownership interests in subsidiaries	7,906	7,906	7,906
	<u>\$ 1,622,130</u>	<u>\$ 1,666,262</u>	<u>\$ 1,666,262</u>

- A. Pursuant to the R.O.C. Company Act, capital surplus arising from paid-in capital in excess of par value on issuance of common stocks and donations can be used to cover accumulated deficit or to issue new stocks or cash to shareholders in proportion to their share ownership, provided that the Company has no accumulated deficit. Further, the R.O.C. Securities and Exchange Act requires that the amount of capital surplus to be capitalized mentioned above should not exceed 10% of the paid-in capital each year. Capital surplus should not be used to cover accumulated deficit unless the legal reserve is insufficient.

- B. On April 11, 2023, the company's board of directors resolved a cash distribution of \$62,484 from the capital surplus (\$0.7 per share).
- C. On April 9, 2024, the company's board of directors resolved a cash distribution of \$44,132 from the capital surplus (\$0.5 per share).

(19) Retained earnings

- A. Under the Company's Articles of Incorporation, the current year's earnings, if any, shall first be used to pay all taxes and offset prior years' operating losses, set aside 10% of the remaining amount as legal reserve, then set aside or reverse a special reserve according to relevant regulations when necessary. The remainder, if any, to be retained or to be appropriated shall be proposed by the Board of Directors and resolved by the shareholders at the shareholders' meeting. The Board of Directors is authorized to distribute all or part of the dividends and bonuses, capital surplus or legal reserve that should be distributed in cash by a resolution approved by more than half of the directors present at a meeting with the presence of more than two-thirds of the directors. Such provisions does not require approval by the shareholders.
- B. The Company's dividend policy is summarized below: as the Company is in the stable growth stage, the residual dividend policy is adopted taking into consideration the Company's future capital expenditure plans and the financial structure. According to the dividend policy adopted by the Board of Directors, at least 1% of the Company's distributable earnings as of the end of the period shall be appropriated as cash or stock dividends, of which not more than 60% shall be paid in stock.
- C. Except for covering accumulated deficit or issuing new stocks or cash to shareholders in proportion to their share ownership, the legal reserve shall not be used for any other purpose. The use of legal reserve for the issuance of stocks or cash to shareholders in proportion to their share ownership is permitted, provided that the distribution of the reserve is limited to the portion in excess of 25% of the Company's paid-in capital.
- D. Special reserve
 - (a) In accordance with the regulations, the Company shall set aside special reserve from the debit balance on other equity items at the balance sheet date before distributing earnings. When debit balance on other equity items is reversed subsequently, the reversed amount could be included in the distributable earnings.
 - (b) The amounts previously set aside by the Company as special reserve on initial application of IFRSs in accordance with Order No. Financial-Supervisory-Securities-Corporate-1010012865, dated April 6, 2012, shall be reversed proportionately when the relevant assets are used, disposed of or reclassified subsequently.

E. Appropriation of earnings

- (a) The appropriations of 2022 earnings had been resolved at the annual shareholders' meeting on May 26, 2023. Details are summarized below:

		2022	
		Amount	Dividends per share (in dollars)
Reversal of Special reserve	(\$	60,457)	
Cash dividends		26,779	\$ 0.30

- (b) The appropriations of 2023 earnings had been resolved at the annual shareholders' meeting on May 24, 2024. Details are summarized below:

		2023	
		Amount	Dividends per share (in dollars)
Legal reserve	\$	7,869	
Special reserve		7,080	
Cash dividends		44,132	\$ 0.50

(20) Other equity items

		2024		
		Unrealized gains (losses) on valuation	Currency translation	Total
At January 1	\$	-	(\$ 369,916)	(\$ 369,916)
Currency translation differences:				
–Group		-	83,417	83,417
At June 30	\$	-	(\$ 286,499)	(\$ 286,499)

		2023		
		Unrealized gains (losses) on valuation	Currency translation	Total
At January 1	(\$	28,200)	(\$ 334,636)	(\$ 362,836)
Revaluation		7,906	-	7,906
Disposal of financial assets at fair value through other comprehensive income (loss)				
– equity instruments		20,294	-	20,294
Currency translation differences:				
–Group		-	(44,275)	(44,275)
At June 30	\$	-	(\$ 378,911)	(\$ 378,911)

(21) Operating revenue

	<u>Three months ended June 30,</u>	
	<u>2024</u>	<u>2023</u>
Revenue from contracts with customers	\$ <u>789,765</u>	\$ <u>849,280</u>
	<u>Six months ended June 30,</u>	
	<u>2024</u>	<u>2023</u>
Revenue from contracts with customers	\$ <u>1,549,430</u>	\$ <u>1,545,837</u>

A. Disaggregation of revenue from contracts with customers

The Group derives revenue from the transfer of goods at a point in time in the following geographical regions:

<u>Three months ended June 30, 2024</u>	<u>Domestic</u>	<u>Asia</u>	<u>Total</u>
Total segment revenue	\$ 260,463	\$ 540,577	\$ 801,040
Inter-segment revenue	(654)	(10,621)	(11,275)
Revenue from external customer contracts	\$ <u>259,809</u>	\$ <u>529,956</u>	\$ <u>789,765</u>

<u>Three months ended June 30, 2023</u>	<u>Domestic</u>	<u>Asia</u>	<u>Total</u>
Total segment revenue	\$ 267,745	\$ 586,704	\$ 854,449
Inter-segment revenue	(164)	(5,005)	(5,169)
Revenue from external customer contracts	\$ <u>267,581</u>	\$ <u>581,699</u>	\$ <u>849,280</u>

<u>Six months ended June 30, 2024</u>	<u>Domestic</u>	<u>Asia</u>	<u>Total</u>
Total segment revenue	\$ 509,627	\$ 1,061,830	\$ 1,571,457
Inter-segment revenue	(4,079)	(17,948)	(22,027)
Revenue from external customer contracts	\$ <u>505,548</u>	\$ <u>1,043,882</u>	\$ <u>1,549,430</u>

<u>Six months ended June 30, 2023</u>	<u>Domestic</u>	<u>Asia</u>	<u>Total</u>
Total segment revenue	\$ 519,860	\$ 1,036,370	\$ 1,556,230
Inter-segment revenue	(2,275)	(8,118)	(10,393)
Revenue from external customer contracts	\$ <u>517,585</u>	\$ <u>1,028,252</u>	\$ <u>1,545,837</u>

B. Contract liabilities

(a) The Group has recognized the following revenue-related contract liabilities:

	<u>June 30, 2024</u>	<u>December 31, 2023</u>	<u>June 30, 2023</u>	<u>January 1, 2023</u>
Contract liabilities:	\$ <u>12,781</u>	\$ <u>4,082</u>	\$ <u>842</u>	\$ <u>3,187</u>

(b) Revenue recognized that was included in the contract liability balance at the beginning of the year is summarized below:

Three months ended June 30,	
2024	2023
Revenue recognized	\$ - \$ -
Six months ended June 30,	
2024	2023
Revenue recognized	\$ 442 \$ 187

(22) Interest income

Three months ended June 30,	
2024	2023
Interest income from bank deposits	\$ 4,455 \$ 7,618
Interest income from financial assets at amortized cost	1,855 38
Other interest income	15 12
\$ 6,325	\$ 7,668
Six months ended June 30,	
2024	2023
Interest income from bank deposits	\$ 8,322 \$ 14,755
Interest income from financial assets at amortized cost	4,105 354
Other interest income	36 29
\$ 12,463	\$ 15,138

(23) Other income

Three months ended June 30,	
2024	2023
Subsidy income	\$ 1,242 \$ 174
Solar revenue	520 607
Molds revenue	277 -
Other income	1,409 1,264
\$ 3,448	\$ 2,045
Six months ended June 30,	
2024	2023
Subsidy income	\$ 1,377 \$ 721
Molds revenue	990 -
Solar revenue	952 1,043
Other income	2,807 2,530
\$ 6,126	\$ 4,294

(24) Other gains and losses

	Three months ended June 30,	
	2024	2023
Loss on disposal of property, plant and equipment	(\$ 943)	(\$ 406)
Impairment loss recognized in profit or loss, property, plant and equipment	(2,263)	-
Foreign exchange gains	6,873	24,998
Loss on financial assets and liabilities at fair value through profit or loss	(8,272)	(24,324)
Miscellaneous disbursements	(579)	(793)
	<u>(\$ 5,184)</u>	<u>(\$ 525)</u>
	Six months ended June 30,	
	2024	2023
Gain on disposal of associates accounted for under equity method	\$ -	\$ 3,542
Gain on disposal of property, plant and equipment	1,890	3,442
Impairment loss recognized in profit or loss, property, plant and equipment	(2,263)	-
Foreign exchange gains	26,541	13,960
Loss on financial assets and liabilities at fair value through profit or loss	(20,794)	(20,068)
Miscellaneous disbursements	(560)	(854)
	<u>\$ 4,814</u>	<u>\$ 22</u>

(25) Finance costs

	Three months ended June 30,	
	2024	2023
Interest expense from bank borrowings	\$ 1,373	\$ 2,394
Interest expense from lease liabilities	409	349
	<u>\$ 1,782</u>	<u>\$ 2,743</u>
	Six months ended June 30,	
	2024	2023
Interest expense from bank borrowings	\$ 2,735	\$ 4,680
Interest expense from lease liabilities	849	669
	<u>\$ 3,584</u>	<u>\$ 5,349</u>

(26) Expenses by nature

	Three months ended June 30,	
	2024	2023
Employee benefit expense	\$ 203,321	\$ 192,536
Depreciation charges on property, plant and equipment	36,144	34,489
Depreciation charges on right-of-use assets	8,082	8,199
Amortization charges on intangible asset	602	4
Amortization charges on molds	3,057	2,267
	Six months ended June 30,	
	2024	2023
Employee benefit expense	\$ 398,729	\$ 360,549
Depreciation charges on property, plant and equipment	71,253	65,009
Depreciation charges on right-of-use assets	16,069	15,577
Amortization charges on intangible asset	1,203	4
Amortization charges on molds	6,313	4,846

(27) Employee benefit expense

	Three months ended June 30,	
	2024	2023
Wages and salaries	\$ 172,222	\$ 162,277
Labour and health insurance fees	12,979	11,769
Pension costs	8,596	8,418
Other personnel expenses	9,524	10,072
	<u>\$ 203,321</u>	<u>\$ 192,536</u>
	Six months ended June 30,	
	2024	2023
Wages and salaries	\$ 335,305	\$ 302,333
Labour and health insurance fees	26,477	22,997
Pension costs	16,963	15,818
Other personnel expenses	19,984	19,401
	<u>\$ 398,729</u>	<u>\$ 360,549</u>

A. In accordance with the Articles of Incorporation of the Company, a ratio of profit before tax, before the distribution of employees' compensation and directors' remuneration, of the current year, after covering accumulated losses, shall be distributed as employees' compensation and directors' remuneration. The ratio shall not be lower than 8% for employees' compensation and shall not be higher than 3% for directors' remuneration. Employees' compensation may be paid in the form of shares or in cash, and employees from affiliated companies who meet certain conditions are entitled to the distribution.

- B. (a) For the three months and six months ended June 30, 2024, the Company had a net loss before income tax, therefore, the Company did not accrue employees' compensation and directors' remuneration at the end of reporting period.
- (b) For the three months and six months ended June 30, 2023, employees' compensation were accrued at \$1,567; directors' remuneration were accrued at \$472. The aforementioned amounts were recognized in salary expenses.
- (c) Employees' compensation and directors' remuneration for 2023 as resolved by the Board of Directors were in agreement with the amounts recognized in the 2023 financial statements. As of June 30, 2024, the employees' compensation and directors' and supervisors' remuneration for 2023 has not been distributed.
- (d) Information about employees' compensation and directors' remuneration of the Company as resolved at the meeting of Board of Directors will be posted in the "Market Observation Post System" at the website of the Taiwan Stock Exchange.

(28) Income tax

A. Components of income tax expense

	<u>Three months ended June 30,</u>	
	<u>2024</u>	<u>2023</u>
Current tax:		
Current tax for the period	\$ 39,049	\$ 50,778
Prior year income tax under estimation	8,030	6,425
Total current tax	<u>47,079</u>	<u>57,203</u>
Deferred tax:		
Origination and reversal of temporary differences	(46,607)	(36,212)
Income tax expense	<u>\$ 472</u>	<u>\$ 20,991</u>
	<u>Six months ended June 30,</u>	
	<u>2024</u>	<u>2023</u>
Current tax:		
Current tax for the period	\$ 50,332	\$ 58,980
Prior year income tax under estimation	8,030	6,813
Total current tax	<u>58,362</u>	<u>65,793</u>
Deferred tax:		
Origination and reversal of temporary differences	(38,945)	(19,156)
Income tax expense	<u>\$ 19,417</u>	<u>\$ 46,637</u>

- B. The Company's income tax returns through 2021 have been assessed and approved by the Tax Authority.
- C. The domestic subsidiaries' income tax returns through 2022 have been assessed and approved by the Tax Authority.

(29) Earnings (loss) per share

Three months ended June 30, 2024			
	Loss for the period	Weighted average number of ordinary shares outstanding (shares in thousands)	Loss per share (in dollars)
<u>Basic and diluted loss per share</u>			
Loss attributable to the parent	(\$ 7,395)	88,263	(\$ 0.08)
Three months ended June 30, 2023			
	Profit for the period	Weighted average number of ordinary shares outstanding (shares in thousands)	Profit per share (in dollars)
<u>Basic earnings per share</u>			
Profit attributable to the parent	\$ 22,882	89,263	\$ 0.25
<u>Diluted earnings per share</u>			
Profit attributable to the parent	\$ 22,882	89,263	
Assumed conversion of all dilutive potential ordinary shares			
-Employees' compensation	-	71	
	\$ 22,882	89,334	\$ 0.25
Six months ended June 30, 2024			
	Loss for the period	Weighted average number of ordinary shares outstanding (shares in thousands)	Loss per share (in dollars)
<u>Basic and diluted loss per share</u>			
Loss attributable to the parent	(\$ 27,715)	88,351	(\$ 0.31)
Six months ended June 30, 2023			
	Profit for the period	Weighted average number of ordinary shares outstanding (shares in thousands)	Profit per share (in dollars)
<u>Basic and diluted loss per share</u>			
Profit attributable to the parent	\$ 11,023	89,263	\$ 0.12
<u>Diluted earnings per share</u>			
Profit attributable to the parent	\$ 11,023	89,263	
Assumed conversion of all dilutive potential ordinary shares			
-Employees' compensation	-	71	
	\$ 11,023	89,334	\$ 0.12

(30) Business Combination

- A. During the period from February to March of the fiscal year 2023, the company purchased a portion of shares in eBio International Co., Ltd. for a cash amount of \$59,414, thereby

participating in its cash increase plan. As a result, the company's ownership stake in eBio International Co., Ltd. increased from 9.81% to 52.02%, granting control over the company. The eBio International Group operates medical businesses in Taiwan, including a pressure ulcer prevention system. The company expects that this acquisition will enhance its position in these markets and lead to cost reduction through economies of scale.

- B. The information regarding the consideration paid for the acquisition of eBio International Group, the assets acquired, and the liabilities assumed at the fair value as of the acquisition date, as well as the information on non-controlling interests' share in the identifiable net assets as of the acquisition date, is as follows:

	<u>March 20, 2023</u>
The consideration received	
Cash	\$ 25,850
The fair value of the equity previously held in eBio International on the acquisition date	43,791
The non-controlling interest's proportion of the identifiable net assets of the acquiree	<u>22,500</u>
	<u>\$ 92,141</u>
The fair value of identifiable assets acquired and liabilities assumed	
Cash and cash equivalents	27,643
Notes and accounts receivable, net	67
Inventories	2,669
Prepayments	3,475
Residual tax credit	1,690
Prepaid expenses and temporary payments	692
Other receivables	27
Property, plant and equipment	5,273
Right-of-use assets	6,484
Intangible assets	24,000
Guarantee deposits paid	309
Deferred income tax assets	86
Long-term borrowings(including current portion)	(12,558)
Accounts payable	(12)
Accrued payroll	(739)
Other accrued expenses payable	(865)
Other current liabilities	(66)
Lease liabilities	(6,484)
Deferred income tax liabilities	<u>(4,797)</u>
Identifiable net assets	<u>46,894</u>
Goodwill	<u>\$ 45,247</u>

- C. On August 4, 2023, the Company obtained a valuation report and retrospectively adjusted the fair values of identifiable assets and liabilities acquired on the acquisition date. According to the valuation report, adjustments were made to the fair values as follows: the fair value of

inventories was adjusted from \$3,023 to \$2,669, the fair value of property, plant, and equipment was adjusted from \$5,260 to \$5,273, the fair value of intangible assets was adjusted from \$105 to \$24,000, the fair value of deferred tax assets was adjusted from \$0 to \$86, and the fair value of deferred tax liabilities was adjusted from \$0 to (\$4,797). Other than these adjustments, there were no differences. Goodwill was adjusted from \$55,049 to \$45,247.

- D. The Company held a 9.81% equity interest in eBio International Co., Ltd. prior to the business combination, which was remeasured at fair value resulting in a realized gain of \$3,542, please refer to note 6(8) for details.
- E. Since the merger with eBio International Co., Ltd. on March 20, 2023, and eBio International Co., Ltd. contributed operating revenue of \$2,360 and a pre-tax net loss of (\$22,185). However, if we assume that eBio International had been included in the consolidation since January 1, 2023, the Group's operating revenue and pre-tax net income would have amounted to \$3,252,406 and \$94,721, respectively.

(31) Supplemental cash flow information

A. Investing activities with partial cash payments:

	Six months ended June 30,	
	2024	2023
Purchase of property, plant and equipment	\$ 79,312	\$ 109,659
Add: Opening balance of payable on equipment	11,381	8,308
Opening balance of payable on construction	627	-
Less: Ending balance of payable on equipment	(21,281)	(11,762)
Ending balance of payable on construction	(4,409)	(8,947)
Cash paid during the year	<u>\$ 65,630</u>	<u>\$ 97,258</u>

B. Financing activities which have on impact on cash flow:

	Six months ended June 30,	
	2024	2023
Dividends payable	<u>\$ 88,264</u>	<u>\$ 89,263</u>

(32) Changes in liabilities from financing activities

	2024				
	Short-term borrowings	Long-term borrowings	Lease liabilities	Guarantee deposit received	Total
At January 1	\$ 45,000	\$ 257,633	\$ 54,997	\$ 1,192	\$ 358,822
Changes in cash flow from financing activities	-	(32,633)	(9,290)	161	(41,762)
Changes in other non-cash items	-	-	15,205	-	15,205
Impact of changes in foreign exchange rate	-	-	789	22	811
At June 30	<u>\$ 45,000</u>	<u>\$ 225,000</u>	<u>\$ 61,701</u>	<u>\$ 1,375</u>	<u>\$ 333,076</u>
	2023				
	Short-term borrowings	Long-term borrowings	Lease liabilities	Guarantee deposit received	Total
At January 1	\$ 55,000	\$ 469,000	\$ 10,088	\$ 905	\$ 534,993
Changes in cash flow from financing activities	(15,000)	(33,347)	(15,176)	-	(63,523)
Changes in other non-cash items	-	-	45,105	-	45,105
	-	12,558	6,484	-	19,042
Impact of changes in foreign exchange rate	-	-	6,267	(2)	6,265
At June 30	<u>\$ 40,000</u>	<u>\$ 448,211</u>	<u>\$ 52,768</u>	<u>\$ 903</u>	<u>\$ 541,882</u>

7. Related Party Transactions

(1) Names of related parties and relationship

<u>Names of related parties</u>	<u>Relationship with the Group</u>
eBio Technology Inc.(Note)	Other related party
Shin Zu Shing Co., Ltd.	Other related party

Note : The consolidated entity included in the Group since March 20, 2023.

(2) Significant related party transactions

A. Operating revenue:

	<u>Three months ended June 30,</u>	
	<u>2024</u>	<u>2023</u>
Sales of goods:		
Other related parties	\$ <u>1,712</u>	\$ <u>-</u>
	<u>Six months ended June 30,</u>	
	<u>2024</u>	<u>2023</u>
Sales of goods:		
Other related parties	\$ <u>2,528</u>	\$ <u>-</u>

There is no significant difference between the sales price and credit terms from non-related parties.

B. Acquisition of financial assets

During March 2023, the Company participated in the cash increase of eBio International Co., Ltd. Please refer to Note 6(30) for further details

C. Lease transactions-lessee

- (a) The Company leases a property from Shin Zu Shing Co., Ltd., with a lease term from January 1, 2023, to December 31, 2024. The monthly rental, management fees, and other expenses advanced by related parties are paid on a monthly basis. The lease agreement includes a priority right of renewal. Based on our medium-term operational planning period of 3 years, the right-of-use asset acquired amounts to \$44,436. The amount does not exceed the price assessed according to the “Regulations Governing the Acquisition and Disposal of Assets by Public Companies”, which is \$46,657.
- (b) On December 22, 2023, by resolution of the Board of Directors, the Company has decided to re-sign the building lease agreement with Shin Zu Shing Co., Ltd. The lease period is from January 1, 2024 to December 31, 2026, and the Company will have the preferential lease right upon expiration. The estimated increase in right-of-use assets will be \$14,356.

(c) Right-of-use assets

A. Carrying amount

	<u>June 30, 2024</u>	<u>December 31, 2023</u>	<u>June 30, 2023</u>
Shin Zu Shing Co., Ltd.	<u>\$ 36,649</u>	<u>\$ 29,624</u>	<u>\$ 37,030</u>

B. Depreciation charge

	<u>Three months ended June 30,</u>	
	<u>2024</u>	<u>2023</u>
Shin Zu Shing Co., Ltd.	<u>\$ 3,664</u>	<u>\$ 3,703</u>
	<u>Six months ended June 30,</u>	
	<u>2024</u>	<u>2023</u>
Shin Zu Shing Co., Ltd.s	<u>\$ 7,330</u>	<u>\$ 7,406</u>

(d) Lease liabilities

A. Carrying amount

	<u>June 30, 2024</u>	<u>December 31, 2023</u>	<u>June 30, 2023</u>
Shin Zu Shing Co., Ltd.	<u>\$ 36,991</u>	<u>\$ 29,836</u>	<u>\$ 37,162</u>

B. Interest expense

	<u>Three months ended June 30,</u>	
	<u>2024</u>	<u>2023</u>
Shin Zu Shing Co., Ltd.	<u>\$ 178</u>	<u>\$ 142</u>
	<u>Six months ended June 30,</u>	
	<u>2024</u>	<u>2023</u>
Shin Zu Shing Co., Ltd.	<u>\$ 371</u>	<u>\$ 298</u>

(e) Rent expense, administration expense and reimbursed expense

	<u>Three months ended June 30,</u>	
	<u>2024</u>	<u>2023</u>
Shin Zu Shing Co., Ltd.	<u>\$ 695</u>	<u>\$ 648</u>
	<u>Six months ended June 30,</u>	
	<u>2024</u>	<u>2023</u>
Shin Zu Shing Co., Ltd.	<u>\$ 1,327</u>	<u>\$ 1,221</u>

D. Receivable from related parties

	<u>June 30, 2024</u>	<u>December 31, 2023</u>	<u>June 30, 2023</u>
Accounts receivable: Other related parties	<u>\$ 1,506</u>	<u>\$ 1,654</u>	<u>\$ -</u>

E. Payables to related parties

	<u>June 30, 2024</u>	<u>December 31, 2023</u>	<u>June 30, 2023</u>
Accounts payable: Other related parties	\$ <u>-</u>	\$ <u>1,061</u>	\$ <u>-</u>
Other payables: Other related parties	\$ <u>223</u>	\$ <u>219</u>	\$ <u>210</u>

(3) Key management compensation

	<u>Three months ended June 30,</u>	
	<u>2024</u>	<u>2023</u>
Short-term employee benefits	\$ 4,735	\$ 5,225
Post-employment benefits	<u>135</u>	<u>150</u>
	\$ <u>4,870</u>	\$ <u>5,375</u>
	<u>Six months ended June 30,</u>	
	<u>2024</u>	<u>2023</u>
Short-term employee benefits	\$ 10,166	\$ 9,868
Post-employment benefits	<u>306</u>	<u>294</u>
	\$ <u>10,472</u>	\$ <u>10,162</u>

8. Pledged Assets

The Group's assets pledged as collateral are as follows:

	<u>Book value</u>			
<u>Pledged asset</u>	<u>June 30, 2024</u>	<u>December 31, 2023</u>	<u>June 30, 2023</u>	<u>Purpose</u>
Financial assets at amortized cost - current	\$ 273	\$ 694	\$ 431	Bank secured borrowings and customs guarantee
Financial assets at amortized cost - non-current	-	399	406	Contract bond
Property, plant, and equipment				
Land	273,059	273,059	273,059	Bank secured borrowings
Buildings and structures	143,601	145,920	151,310	Bank secured borrowings
Other non-current assets				
Guarantee deposits paid	8,836	8,642	7,299	Rental deposit

9. Significant Contingent Liabilities and Unrecognised Contract Commitments

Commitments

As of June 30, 2024, the Group had opened unused letters of credit for importing inventories and equipment of \$3,672.

10. Significant Disaster Loss

None.

11. Significant Events after the Balance Sheet Date

None.

12. Others

(1) Capital management

The current period did not involve significant transactions or material changes, please refer to Note 12 of the consolidated financial statements for the year ended December 31, 2023.

(2) Financial instruments

A. Financial instruments by category

	<u>June 30, 2024</u>	<u>December 31, 2023</u>	<u>June 30, 2023</u>
<u>Financial assets</u>			
Financial assets mandatorily measured at fair value through profit or loss (current and non-current)	\$ 33,124	\$ 32,973	\$ 22,780
Financial assets at fair value through other comprehensive income	8,745	3,070	3,114
Financial assets at amortized cost			
Cash and cash equivalents	1,208,386	1,223,585	1,578,427
Financial assets at amortized cost (current and non-current)	134,032	187,644	18,075
Notes receivable, net	13,170	31,977	32,064
Accounts receivable, net	1,107,278	1,131,766	1,087,394
Accounts receivable-related party	1,506	1,654	-
Other receivables	109,953	88,667	114,872
Finance lease receivable, net (current and non-current)	3,533	3,296	-
Guarantee deposits paid	8,836	8,642	7,299
	<u>\$ 2,628,563</u>	<u>\$ 2,713,274</u>	<u>\$ 2,864,025</u>
	<u>June 30, 2024</u>	<u>December 31, 2023</u>	<u>June 30, 2023</u>
<u>Financial liabilities</u>			
Financial liabilities mandatorily measured at fair value through profit or loss	\$ 2,574	\$ -	\$ 18,961
Financial liabilities at amortized cost			
Short-term borrowings	45,000	45,000	40,000
Accounts payable	584,937	485,963	556,091
Accounts payable-related party	-	1,061	-
Other payables	382,180	304,614	361,016
Other payables-related party	223	219	210
Long-term borrowings (including current portion)	225,000	257,633	448,211
Guarantee deposits received	1,375	1,192	903
	<u>\$ 1,241,289</u>	<u>\$ 1,095,682</u>	<u>\$ 1,425,392</u>
Lease liabilities (current and non-current)	<u>\$ 61,701</u>	<u>\$ 54,997</u>	<u>\$ 52,768</u>

B. Financial risk management policies

The current period did not involve significant transactions or material changes, please refer to Note 12 of the consolidated financial statements for the year ended December 31, 2023.

C. Significant financial risks and degrees of financial risks

(a) Market risk

Foreign exchange risk

- i. The Group engages in sales and purchases denominated in foreign currencies and are exposed to exchange rate fluctuations. The Group manages exchange rate risks within the scope permitted by the policy, using forward foreign exchange contracts to manage risks.
- ii. The Group's businesses involve some non-functional currency operations (the Company's and domestic subsidiaries' functional currency: NTD; other certain subsidiaries' functional currency: RMB, USD, and VND). The information on assets and liabilities denominated in foreign currencies whose values would be materially affected by the exchange rate fluctuations is as follows:

June 30, 2024			
(Foreign currency: functional currency)	Foreign currency amount		Book value
	<u>(In thousands)</u>	<u>Exchange rate</u>	<u>(NTD)</u>
<u>Financial assets</u>			
<u>Monetary items</u>			
USD:NTD	\$ 6,407	32.4500	\$ 207,907
USD:RMB	16,882	7.1268	547,821
USD:VND	4,036	24,260	130,968
<u>Financial liabilities</u>			
<u>Monetary items</u>			
USD:NTD	\$ 509	32.4500	\$ 16,517
USD:RMB	2,296	7.1268	74,505
USD:VND	1,298	24,260	42,120

December 31, 2023				
(Foreign currency: functional currency)	Foreign currency amount		Book value	
	(In thousands)	Exchange rate	(NTD)	
<u>Financial assets</u>				
<u>Monetary items</u>				
USD:NTD	\$	13,201	30.7050	\$ 405,337
USD:RMB		14,057	7.0827	431,620
USD:VND		4,274	23,866	131,233
<u>Financial liabilities</u>				
<u>Monetary items</u>				
USD:NTD	\$	622	30.7050	\$ 19,099
USD:RMB		2,257	7.0827	69,301
USD:VND		129	23,866	3,961
June 30, 2023				
(Foreign currency: functional currency)	Foreign currency amount		Book value	
	(In thousands)	Exchange rate	(NTD)	
<u>Financial assets</u>				
<u>Monetary items</u>				
USD:NTD	\$	4,082	31.1400	\$ 127,113
USD:RMB		13,385	7.2258	416,809
USD:VND		115	23,800	3,581
<u>Financial liabilities</u>				
<u>Monetary items</u>				
USD:NTD	\$	238	31.1400	\$ 7,411
USD:RMB		3,552	7.2258	110,609
USD:VND		249	23,800	7,754

- iii. Total exchange gains, including realized and unrealized, arising from significant foreign exchange variation on the monetary items held by the Group for the three months and six months ended June 30, 2024 and 2023, amounted to \$6,873, \$24,998, \$26,541, and \$13,960, respectively.

iv. Analysis of foreign currency market risk arising from significant foreign exchange variation:

Six months ended June 30, 2024				
Sensitivity analysis				
	Degree of variation	Effect on profit or loss	Effect on other comprehensive income	
(Foreign currency: functional currency)				
Financial assets				
Monetary items				
USD:NTD	1%	\$ 2,079	\$	-
USD:RMB	1%	5,478		-
USD:VND	1%	1,310		-
Financial liabilities				
Monetary items				
USD:NTD	1%	\$ 165	\$	-
USD:RMB	1%	745		-
USD:VND	1%	421		-
Six months ended June 30, 2023				
Sensitivity analysis				
	Degree of variation	Effect on profit or loss	Effect on other comprehensive income	
(Foreign currency: functional currency)				
Financial assets				
Monetary items				
USD:NTD	1%	\$ 1,271	\$	-
USD:RMB	1%	4,168		-
USD:VND	1%	36		-
Financial liabilities				
Monetary items				
USD:NTD	1%	\$ 74	\$	-
USD:RMB	1%	1,106		-
USD:VND	1%	78		-

Cash flow and fair value interest rate risk

- i. The Group's main interest rate risk arises from long-term borrowings with variable rates, which expose the Group to cash flow interest rate risk. For the six months ended June 30, 2024 and 2023, the Group's borrowings at variable rate were mainly denominated in New Taiwan dollars.

- ii. If the borrowing interest rate of New Taiwan dollars had increased/decreased by 4 basis points with all other variables held constant, profit, net of tax for the six months ended June 30, 2024 and 2023 would have increased/decreased by \$ 1,800 and \$ 3,586, respectively. The main factor is that changes in interest expense result from floating rate borrowings.

(b) Credit risk

- i. Credit risk refers to the risk that a counterparty will default on its contractual obligations resulting in financial loss to the Group. As at the end of the reporting period, the Group's maximum exposure to credit risk which will cause a financial loss to the Group due to default by the counterparties and financial guarantees provided by the Group arises from:
 - (i) The carrying amount of the respective recognized financial assets as stated in the balance sheets;
 - (ii) The amount of contingent liabilities in relation to financial guarantee issued by the Group.
- ii. In order to mitigate the credit risk, the Group will conduct credit rating for the transaction object and obtain sufficient security if necessary to mitigate the risk of financial loss due to default. If such information is not available, the Group will use other publicly available financial information and mutual transaction records to rate key customers. The Group will continue to monitor the credit risk and the credit rating of the counterparty through the determination of the credit line and the approval of the credit line. In addition, the Group reviews the recoverable amounts of receivables individually at the balance sheet date to ensure that appropriate impairment losses have been provided for unrecoverable receivables. Accordingly, the Group's management believes that the Group's credit risk has been significantly reduced.
- iii. The Group adopts the following assumption under IFRS 9 to assess whether there has been a significant increase in credit risk on that instrument since initial recognition: If the contract payments were past due over 90 days based on the terms, there has been a significant increase in credit risk on that instrument since initial recognition.
- iv. In line with credit risk management procedure, when there is evidence that the counterparty faces serious financial difficulties and the Group cannot reasonably expect to recover the amount, for example, the counterparty is in liquidation, the Group considers that the counterparty has signs of default.
- v. The Group wrote-off the financial assets, which cannot be reasonably expected to be recovered, after initiating recourse procedures. However, the Group will continue executing the recourse procedures to secure their rights.

- vi. The Group applies the modified approach using a provision matrix to estimate expected credit loss under the provision matrix basis. Based on the Group's historical experience, there is no significant difference in the loss patterns among different customer groups. The provision matrix does not further differentiate customer groups, and only sets the expected credit loss rate based on the number of days overdue for receivable, except for individual cases that need to be evaluated separately.
- vii. The Group used the forecastability to adjust historical and timely information to assess the default possibility of accounts receivable. On June 30, 2024, December 31, 2023 and June 30, 2023, the provision matrix is as follows:

<u>June 30, 2024</u>	<u>Expected loss rate</u>	<u>Total book value</u>	<u>Loss allowance</u>
Not past due	0%	\$ 1,071,483	\$ -
Up to 90 days	0%	35,795	-
Over 91 days	100%	<u>5,307</u>	<u>5,307</u>
		<u>\$ 1,112,585</u>	<u>\$ 5,307</u>

<u>December 31, 2023</u>	<u>Expected loss rate</u>	<u>Total book value</u>	<u>Loss allowance</u>
Not past due	0%	\$ 1,087,415	\$ -
Up to 90 days	0%	44,351	-
Over 91 days	100%	<u>578</u>	<u>578</u>
		<u>\$ 1,132,344</u>	<u>\$ 578</u>

<u>June 30, 2023</u>	<u>Expected loss rate</u>	<u>Total book value</u>	<u>Loss allowance</u>
Not past due	0%	\$ 1,056,226	\$ -
Up to 90 days	0%	31,168	-
Over 91 days	100%	<u>3,353</u>	<u>3,353</u>
		<u>\$ 1,090,747</u>	<u>\$ 3,353</u>

- viii. Movements in relation to the Group applying the modified approach to provide loss allowance for accounts receivable and molds receivable are as follows:

	<u>2024</u>		
	<u>Accounts receivable</u>	<u>Molds receivable</u>	<u>Total</u>
At January 1	\$ 578	\$ 6,007	\$ 6,585
Provision for impairment	4,656	-	4,656
Reversal of impairment loss	-	(290)	(290)
Effect of foreign rate exchange	<u>73</u>	<u>298</u>	<u>371</u>
At June 30	<u>\$ 5,307</u>	<u>\$ 6,015</u>	<u>\$ 11,322</u>

	2023		
	Accounts receivable	Molds receivable	Total
At January 1	\$ 1,573	\$ -	\$ 1,573
Provision for impairment	1,854	-	1,854
Reversal of impairment loss	-	-	-
Effect of foreign rate exchange	(74)	-	(74)
At June 30	<u>\$ 3,353</u>	<u>\$ -</u>	<u>\$ 3,353</u>

(c) Liquidity risk

i. Cash flow forecasting is performed in the operating entities of the Group and aggregated by the Group's Corporate Treasury function. The Group's Corporate Treasury function monitors rolling forecasts of the Group's liquidity requirements to ensure it has sufficient cash to meet operational needs while maintaining sufficient headroom on its undrawn committed borrowing facilities at all times so that the Group does not breach borrowing limits or covenants on any of its borrowing facilities. Such forecasting takes into consideration the Group's debt financing plans, covenant compliance, compliance with internal balance sheet ratio targets and external regulatory or legal requirements.

ii. The Group has the following undrawn borrowing facilities:

	<u>June 30, 2024</u>	<u>December 31, 2023</u>	<u>June 30, 2023</u>
Floating rate:			
Expiring within one year	\$ 1,843,681	\$ 2,196,819	\$ 2,195,554
Expiring beyond one year	-	-	-

iii. The table below analyses the Group's non-derivative financial liabilities into relevant maturity groupings based on the remaining period at the balance sheet date to the contractual maturity date. The amounts disclosed in the table are the contractual undiscounted cash flows.

	Less than 1 year	Between 1 and 2 years	Between 2 and 5 years	Over 5 years
<u>June 30, 2024</u>				
<u>Non-derivative financial liabilities</u>				
Short-term borrowings	\$ 45,121	\$ -	\$ -	\$ -
Accounts payable	584,937	-	-	-
Other payables	382,180	-	-	-
Other payables-related parties	223	-	-	-
Lease liabilities	27,183	27,042	9,065	-
Long-term borrowings (including current portion)	54,433	54,433	136,075	-
Guarantee deposits received	1,375	-	-	-
<u>Derivative financial liabilities</u>				
Forward foreign exchange contracts	\$ 2,574	\$ -	\$ -	\$ -
	Less than 1 year	Between 1 and 2 years	Between 2 and 5 years	Over 5 years
<u>December 31, 2023</u>				
<u>Non-derivative financial liabilities</u>				
Short-term borrowings	\$ 45,068	\$ -	\$ -	\$ -
Accounts payable	485,963	-	-	-
Accounts payable-related parties	1,061	-	-	-
Other payables	304,614	-	-	-
Other payables-related parties	219	-	-	-
Lease liabilities	26,816	26,675	3,117	-
Long-term borrowings (including current portion)	54,676	54,625	163,862	-
Guarantee deposits received	1,192	-	-	-
	Less than 1 year	Between 1 and 2 years	Between 2 and 5 years	Over 5 years
<u>June 30, 2023</u>				
<u>Non-derivative financial liabilities</u>				
Short-term borrowings	\$ 40,065	\$ -	\$ -	\$ -
Accounts payable	556,091	-	-	-
Other payables	361,016	-	-	-
Other payables-related parties	210	-	-	-
Lease liabilities	23,800	18,555	11,634	-
Long-term borrowings (including current portion)	174,004	74,011	206,984	27,551
Guarantee deposits received	903	-	-	-

(3) Fair value information

A. The different levels that the inputs to valuation techniques are used to measure fair value of financial and non-financial instruments have been defined as follows:

Level 1: Quoted prices (unadjusted) in active markets for identical assets or liabilities that the entity can access at the measurement date. A market is regarded as active where a market in which transactions for the asset or liability take place with sufficient frequency and volume to provide pricing information on an ongoing basis. The Group has no related investment.

Level 2: Inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly or indirectly. The fair value of the Group's investment in derivative instruments is included in Level 2.

Level 3: Unobservable inputs for the asset or liability. The fair value of the Group's investment in equity investment without active market is included in Level 3.

B. Except for those listed in the table below, the carrying amounts of cash and cash equivalents, notes receivable, accounts receivable, accounts receivable, other receivables, guarantee deposits paid, short-term borrowings, notes payable, accounts payable, other payables, lease liabilities, long-term borrowings (including current portion), and guarantee deposits received are approximate to their fair values.

C. The related information on financial instruments measured at fair value by level on the basis of the nature, characteristics and risks of the assets and liabilities is as follows:

(a) The related information on the nature of the assets and liabilities is as follows:

<u>June 30, 2024</u>	<u>Level 1</u>	<u>Level 2</u>	<u>Level 3</u>	<u>Total</u>
Assets				
<u>Recurring fair value measurements</u>				
Financial assets at fair value through profit or loss				
Forward foreign exchange contracts	\$ -	\$ 204	\$ -	\$ 204
Private equity fund	-	-	32,920	32,920
Financial assets at fair value through other comprehensive income				
Equity instruments	-	-	8,745	8,745
	<u>\$ -</u>	<u>\$ 204</u>	<u>\$ 41,665</u>	<u>\$ 41,869</u>
Liabilities				
<u>Recurring fair value measurements</u>				
Financial liabilities at fair value through profit or loss				
Forward foreign exchange contracts	<u>\$ -</u>	<u>\$ 2,574</u>	<u>\$ -</u>	<u>\$ 2,574</u>

<u>December 31, 2023</u>	<u>Level 1</u>	<u>Level 2</u>	<u>Level 3</u>	<u>Total</u>
Assets				
<u>Recurring fair value measurements</u>				
Financial assets at fair value through profit or loss				
Forward foreign exchange contracts	\$ -	\$ 7,870	\$ -	\$ 7,870
Private equity fund	-	-	25,103	25,103
Financial assets at fair value through other comprehensive income				
Equity instruments	-	-	3,070	3,070
	<u>\$ -</u>	<u>\$ 7,870</u>	<u>\$ 28,173</u>	<u>\$ 36,043</u>
 <u>June 30, 2023</u>	 <u>Level 1</u>	 <u>Level 2</u>	 <u>Level 3</u>	 <u>Total</u>
Assets				
<u>Recurring fair value measurements</u>				
Financial assets at fair value through other comprehensive income				
Equity instruments	\$ -	\$ -	\$ 22,780	\$ 22,780
Financial assets at fair value through other comprehensive income				
Equity instruments	-	-	3,114	3,114
	<u>\$ -</u>	<u>\$ -</u>	<u>\$ 25,894</u>	<u>\$ 25,894</u>
Liabilities				
<u>Recurring fair value measurements</u>				
Financial liabilities at fair value through profit or loss				
Forward foreign exchange contracts	<u>\$ -</u>	<u>\$ 18,961</u>	<u>\$ -</u>	<u>\$ 18,961</u>

- (b) The methods and assumptions the Group used to measure fair value are as follows:
- Except for financial instruments with active markets, the fair value of other financial instruments is measured by using valuation techniques or by reference to counterparty quotes. The fair value of financial instruments measured by using valuation techniques can be referred to current fair value of instruments with similar terms and characteristics in substance, discounted cash flow method or other valuation methods, including calculated by applying model using market information available at the consolidated balance sheet date.
 - When assessing non-standard and low-complexity financial instruments, for example, interest rate swap contracts and foreign exchange swap contracts, the Group adopts valuation technique that is widely used by market participants. The inputs used in the valuation method to measure these financial instruments are normally observable in the market.

- iii. The valuation of derivative financial instruments is based on valuation model widely accepted by market participants, such as present value techniques and option pricing models. Forward exchange contracts are usually valued based on the current forward exchange rate.
 - iv. The output of valuation model is an estimated value and the valuation technique may not be able to capture all relevant factors of the Group's financial and non-financial instruments. Therefore, the estimated value derived using valuation model is adjusted accordingly with additional inputs, for example, model risk or liquidity risk and etc. In accordance with the Group's management policies and relevant control procedures relating to the valuation models used for fair value measurement, management believes adjustment to valuation is necessary in order to reasonably represent the fair value of financial and non-financial instruments at the consolidated balance sheet. The inputs and pricing information used during valuation are carefully assessed and adjusted based on current market conditions.
- D. For the six months ended June 30, 2024 and 2023, there was no transfer between Level 1 and Level 2.
- E. The following chart is the movement of Level 3 for the six months ended June 30, 2024 and 2023:

	Equity instrument	
	2024	2023
At January 1	\$ 28,173	\$ 15,531
Recognized in other comprehensive income	-	7,906
Recognized in profit or loss	(1,183)	1,320
Acquired during the period	14,500	9,000
Disposal during the period	-	(7,906)
Effect of exchange rate changes	175	43
At June 30	<u>\$ 41,665</u>	<u>\$ 25,894</u>

- F. Information relating to transfer out amounting to \$0 from Level 3 for the six months ended June 30, 2024 and 2023 is provided.
- G. Investing segment is in charge of valuation procedures for fair value measurements being categorised within Level 3, which is to verify independent fair value of financial instruments. Such assessment is to ensure the valuation results are reasonable by applying independent information to make results close to current market conditions, confirming the resource of information is independent, reliable and in line with other resources and represented as the exercisable price, and frequently calibrating valuation model, performing back-testing, updating inputs used to the valuation model and making any other necessary adjustments to the fair value. Investment segment set up valuation policies, valuation processes and rules for measuring fair value of financial instruments and ensure compliance with the related requirements in IFRS.

H. The following is the qualitative information of significant unobservable inputs and sensitivity analysis of changes in significant unobservable inputs to valuation model used in Level 3 fair value measurement:

	<u>June 30, 2024</u>	<u>Valuation technique</u>	<u>Significant unobservable input</u>	<u>Range (weighted average)</u>	<u>Relationship of inputs to fair value</u>
Non-derivative equity instrument:					
Unlisted shares	\$ 8,745	Market comparable companies	Price to earnings ratio multiple, discount for lack of marketability	Not applicable	The higher the multiple, the higher the fair value; the higher the discount for lack of marketability, the lower the fair value.
Private equity fund	32,920	Net asset value	Not applicable	Not applicable	The higher the net asset value, the higher the fair value.
	<u>December 31,2023</u>	<u>Valuation technique</u>	<u>Significant unobservable input</u>	<u>Range (weighted average)</u>	<u>Relationship of inputs to fair value</u>
Non-derivative equity instrument:					
Unlisted shares	\$ 3,070	Market comparable companies	Price to earnings ratio multiple, discount for lack of marketability	Not applicable	The higher the multiple, the higher the fair value; the higher the discount for lack of marketability, the lower the fair value.
Private equity fund	25,103	Net asset value	Not applicable	Not applicable	The higher the net asset value, the higher the fair value.

	<u>June 30, 2023</u>	<u>Valuation technique</u>	<u>Significant unobservable input</u>	<u>Range (weighted average)</u>	<u>Relationship of inputs to fair value</u>
Non-derivative equity instrument:					
Unlisted shares	\$ 3,114	Net asset value	Not applicable	Not applicable	The higher the net asset value, the higher the fair value.
Private equity fund	22,780	Net asset value	Not applicable	Not applicable	The higher the net asset value, the higher the fair value.

13. Supplementary Disclosures

(1) Significant transactions information

- A. Loans to others: Refer to table 1.
- B. Provision of endorsements and guarantees to others: Refer to table 2.
- C. Holding of marketable securities at the end of the period (not including subsidiaries, associates and joint ventures): Refer to table 3.
- D. Acquisition or sale of the same security with the accumulated cost exceeding \$300 million or 20% of the Company's paid-in capital: None.
- E. Acquisition of real estate reaching \$300 million or 20% of paid-in capital or more: None.
- F. Disposal of real estate reaching \$300 million or 20% of paid-in capital or more: None.
- G. Purchases or sales of goods from or to related parties reaching \$100 million or 20% of paid-in capital or more: None.
- H. Receivables from related parties reaching \$100 million or 20% of paid-in capital or more: None.
- I. Trading in derivative instruments undertaken during the reporting periods: Refer to Notes 6(2), 6(24) and 12(2).
- J. Significant inter-company transactions during the reporting period: None.

(2) Information on investees

Names, locations and other information of investee companies (not including investees in Mainland China): Refer to table 4.

(3) Information on investments in Mainland China

- A. Basic information: Refer to table 5.
- B. Significant transactions, either directly or indirectly through a third area, with investee companies in the Mainland Area: None.

(4) Major shareholders information

Major shareholders information: Refer to table 6.

14. Segment Information

(1) General information

A. Management has determined the reportable operating segments based on the reports reviewed by Board of Directors that are used to make strategic decisions.

B. There is no material change in the basis for formation of entities and division of segments in the Group or in the measurement basis for segment information during this period.

(2) Information about segment profit or loss, assets and liabilities

The segment information provided to the chief operating decision-maker for the reportable segments is as follows:

<u>Three months ended June 30, 2024</u>	<u>Domestic</u>	<u>Asia</u>	<u>Total</u>
Revenue from external customers	\$ 259,809	\$ 529,956	\$ 789,765
Inter-segment revenue (Note)	654	10,621	11,275
Total segment revenue	<u>\$ 260,463</u>	<u>\$ 540,577</u>	<u>\$ 801,040</u>
Segment (loss) income	(\$ 50,195)	\$ 32,957	(\$ 17,238)

<u>Three months ended June 30, 2023</u>	<u>Domestic</u>	<u>Asia</u>	<u>Total</u>
Revenue from external customers	\$ 267,581	\$ 581,699	\$ 849,280
Inter-segment revenue (Note)	164	5,005	5,169
Total segment revenue	<u>\$ 267,745</u>	<u>\$ 586,704</u>	<u>\$ 854,449</u>
Segment (loss) income	(\$ 51,930)	\$ 82,919	\$ 30,989

<u>Six months ended June 30, 2024</u>	<u>Domestic</u>	<u>Asia</u>	<u>Total</u>
Revenue from external customers	\$ 505,548	\$ 1,043,882	\$ 1,549,430
Inter-segment revenue (Note)	4,079	17,948	22,027
Total segment revenue	<u>\$ 509,627</u>	<u>\$ 1,061,830</u>	<u>\$ 1,571,457</u>
Segment (loss) income	(\$ 108,606)	\$ 66,714	(\$ 41,892)

<u>Six months ended June 30, 2023</u>	<u>Domestic</u>	<u>Asia</u>	<u>Total</u>
Revenue from external customers	\$ 517,585	\$ 1,028,252	\$ 1,545,837
Inter-segment revenue (Note)	2,275	8,118	10,393
Total segment revenue	<u>\$ 519,860</u>	<u>\$ 1,036,370</u>	<u>\$ 1,556,230</u>
Segment (loss) income	(\$ 110,580)	\$ 146,855	\$ 36,275

Note: Sales between segments are carried out at arm's length.

(3) Reconciliation for segment income (loss)

- A. The revenue from external customers reported to the chief operating decision-maker is measured in a manner consistent with that in the statement of comprehensive income.
- B. A reconciliation of reportable segment income or loss to the income (loss) before tax from continuing operations for the three months and six months ended June 30, 2024 and 2023 is provided as follows:

	<u>Three months ended June 30,</u>	
	<u>2024</u>	<u>2023</u>
Reportable segments gain (loss)	(\$ 17,238)	\$ 30,989
Total non-operating income and expenses	<u>2,807</u>	<u>6,445</u>
Gain (loss) income before tax from continuing operations	<u>(\$ 14,431)</u>	<u>\$ 37,434</u>
	<u>Six months ended June 30,</u>	
	<u>2024</u>	<u>2023</u>
Reportable segments gain (loss)	(\$ 41,892)	\$ 36,275
Total non-operating income and expenses	<u>19,819</u>	<u>12,348</u>
Gain (loss) income before tax from continuing operations	<u>(\$ 22,073)</u>	<u>\$ 48,623</u>

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES

Loans to others

Six months ended June 30, 2024

Table 1

Expressed in thousands of NTD

(Except as otherwise indicated)

No. (Note 1)	Creditor	Borrower	General ledger account	Is a related party	Maximum Balance for the Period	Ending Balance (Note 2)	Actual amount drawn down	Interest rate	Nature of loan	Amount of transactions with the borrower	Reason for short-term financing	Allowance for doubtful accounts	Collateral		Limit on loans granted to a single party (Note 1)	Ceiling on total loans granted (Note 1)	Footnote
													Item	Value			
0	The Company	eBio Technology	Other receivables - related parties	Yes	\$ 50,000	\$ 50,000	\$ 20,000	2.515%	2	\$ -	Operating cycle	\$ -	Promissory note	\$ 50,000	\$ 539,366	\$ 1,078,731	

Note 1: According to the parent company's "Management policies on financing provided to Others "

(1) For individual companies, the loan shall not exceed 20% of the net value of the lender's most recent financial statements.

(2) The total amount of loan and loan shall not exceed 40% of the net value of the latest financial statement of the lender.

Note 2: Pursuant to paragraph 2 of article 14 in Regulations Governing Loaning of Funds and Making of Endorsements/Guarantees by Public Companies, loans of funds between the public company and its related parties shall be submitted for a resolution by the board of directors, and the chairman may be authorised, within a certain monetary limit resolved by the board of directors, and within a period not to exceed one year, to give loans in installments or to make a revolving credit line available for the counterparty to draw down. Such loan monetary limit is disclosed herein.

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES

Endorsements/Guarantees provided

Six months ended June 30, 2024

Table 2

Expressed in thousands of NTD
(Except as otherwise indicated)

No.	Endorser/Guar	Endorsee/Guarantee		Limit on Endorsement/ Guarantee Given on Behalf of Each Party (Note 2)	Maximum Amount Endorsed/ Guaranteed During the Period	Outstanding Endorsement/ Guarantee at the End of the Period	Actual Amount Borrowed	Amount Endorsed/ Guaranteed by Collateral	Ratio of Accumulated Endorsement/Guarantee to Net Equity in Latest Financial Statements (%)	Aggregate Endorsement/ Guarantee Limit (Note 2)	Endorsement/ Guarantee Given by Parent on Behalf of Subsidiaries	Endorsement/ Guarantee Given by Subsidiaries on Behalf of Parent	Endorsement/ Guarantee Given on Behalf of Companies in Mainland China	Footnote
		Name	Relationship (Note 1)											
0	The Company	eBio Technology	1	\$ 1,348,414	\$ 20,000	\$ 20,000	\$ -	None	0.74%	\$ 2,696,828	Y	N	N	

Note 1: The Company owns directly more than 50% voting shares of the endorsed/ guaranteed subsidiary.

Note 2: The relevant regulations for "endorsements/guarantees limit" of the Company are as follows:

- (1)The endorsement and guarantee limit for a single enterprise, except for subsidiaries in which the Company directly or indirectly holds more than 50% of the common stock, shall not exceed 50% of the net worth.
For other cases, it shall not exceed 10% of the net worth.
- (2)The total amount of endorsements and guarantees provided by the Company to external parties shall not exceed 100% of the net worth.

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
Holding of marketable securities at the end of the period (not including subsidiaries, associates and joint ventures)
June 30, 2024

Table 3

Expressed in thousands of NTD / foreign currency / shares
(Except as otherwise indicated)

Securities held by	Marketable securities	Relationship with the securities issuer	General ledger account	As of June 30, 2024				Footnote
				Number of shares	Book value	Ownership	Fair value	
The Company	Private equity fund	-	Financial assets at fair value through profit or loss- non-current	-	\$ 32,920	3%	\$ 32,920	
The Company	Ordinary shares of Y Company	-	Financial assets at fair value through other comprehensive income- non-current	300	3,000	13.04%	3,000	
The Company	Ordinary shares of B Company	-	Financial assets at fair value through other comprehensive income- non-current	250	2,500	16.67%	2,500	
JOCHU BVI	Preferred shares of W Company	-	Financial assets at fair value through other comprehensive income- non-current	61	3,245	-	3,245	USD 100
JOCHU BVI	Preferred shares of PIH	Subsidiary	Financial assets at fair value through other comprehensive income- non-current	30	974	-	974	USD 30

Table 3

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES

Information on investees

Six months ended June 30, 2024

Table 4

Expressed in thousands of NTD / shares
(Except as otherwise indicated)

Investor	Investee	Location	Main business activities	Initial investment amount		Shares held as at June 30, 2024			Net profit (loss) of the investee for the years ended June 30, 2024	Investment income (loss) recognised by the Company for the years ended June 30, 2024	Footnote
				Balance	Balance as at	Number of shares	Ownership (%)	Book value			
				as at June 30, 2024	December 31, 2023						
The Company	JOCHU BVI	British Virgin Islands	Investment holding	\$ 1,149,099	\$ 1,149,099	36,564	100%	\$ 1,775,492	\$ 43,578	\$ 44,699	
The Company	LEGIUN	Taiwan	Sales of medical devices	80,000	80,000	8,000	100%	35,356 (	3,707) (	3,762)	
The Company	eBIO INTERNATIONAL CO., LTD.	Taiwan	Investment holding	71,114	71,114	6,331	52.02%	51,264 (	11,077) (	6,261)	
JOCHU BVI	JOCHU GLOBAL	Cayman Islands	Investment holding	328,912	328,912	10,000	100%	390,552	17,782	17,782	
JOCHU BVI	PIH	Singapore	Investment holding	496,256	496,256	16,348	65%	447,303 (	22,861) (	14,860)	
JOCHU GLOBAL	JOCHU INTERNATIONAL	Cayman Islands	Investment holding	328,912	328,912	10,000	100%	390,552	17,782	17,782	
PIH	JOCHU VIETNAM	Vietnam	Production and sales of optoelectronic components, stamping molds, and related international trading business	758,383	758,383	Not applicable	100%	686,163 (	22,693) (	22,693)	
eBIO INTERNATIONAL CO., LTD.	eBIO TECHNOLOGY INC.	Taiwan	Research and development, manufacturing of medical electronic devices, biomedical sensors, and integrated design services for healthcare systems.	71,071	71,071	11,971	100% (	5,744) (	10,959) (	10,959)	

Table 4

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
Information on investments in Mainland China
Six months ended June 30, 2024

Table 5

Expressed in thousands of NTD / foreign currency
(Except as otherwise indicated)

Investee in Mainland China	Main business activities	Paid-in capital	Investment method (Note 1)	Accumulated amount of remittance from Taiwan to Mainland China as of January 1, 2024	Amount remitted from Taiwan to Mainland China/ Amount remitted back to Taiwan for the year ended June 30, 2024		Accumulated amount of remittance from Taiwan to Mainland China as of June 30, 2024	Net income of investee for the year ended June 30, 2024	Ownership held by the Company (direct or indirect)	Investment income (loss) recognised by the Company for the year ended June 30, 2024 (Note 2)	Book value of investments in Mainland China as of June 30, 2024	Accumulated amount of investment income remitted back to Taiwan as of June 30, 2024	Footnote
SUZHOU JOCHU	Production and sales of optoelectronic components, stamping molds, and related international trading business	\$ 569,170	Note 1(2)1	\$ 367,541	\$ -	\$ -	\$ 367,541	\$ 40,725	100%	\$ 40,725	\$ 937,086	\$ 1,824,991	Note 2(2)B
XIAMEN JOCHU	Production and sales of optoelectronic components, stamping molds, and related international trading business	451,775	Note 1(2)2	328,912	-	-	328,912	26,672	100%	26,672	585,788	663,837	Note 2(2)B

Company name	Accumulated Outward Remittance for Investments in Mainland China as of June 30, 2024	Investment Amount Authorised by the Investment Commission, MOEA	Upper Limit on the Amount of Investments Stipulated by the Investment Commission, MOEA (Note 3)
The Company	\$ 696,453 (USD21,500)	\$ 862,275 (USD28,801)	\$ 1,765,940

Note 1: Investment methods are classified into the following three categories; fill in the number of category each case belongs to:
 (1) Directly invest in a company in Mainland China.
 (2) Through investing in an existing company in the third area, which then invested in the investee in Mainland China.
 A. Invested through Jochu Investment Ltd.
 B. Invested 66.67% by Jochu International (Cayman) Ltd. and 33.33% by Suzhou Zhou Qiao Precision Metal Co., Ltd., totaling 100%.
 (3) Others

Note 2: In the 'Investment income (loss) recognised by the Company for the year ended December 31,2024' column:
 (1) It should be indicated if the investee was still in the incorporation arrangements and has not yet generated any profit during this period.
 (2) Indicate the basis for investment income (loss) recognition in the number of one of the following three categories:
 A.The financial statements were audited by international accounting firm which has cooperative relationship with accounting firm in R.O.C.
 B.The financial statements were audited by R.O.C. parent company's CPA.
 C.Others.

Note 3: According to the new regulations issued by the Investment Review Committee of the Ministry of Economic Affairs in August 2009,
 the calculation method of the investment limit for the mainland area is the net value or 60% of the combined net value, whichever is higher.

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES

Major shareholders information
June 30, 2024

Table 6

Name of major shareholders	Shares		Ownership (%)
	Number of shares held (Ordinary share)	Number of shares held (preferred share)	
Heng Xing Investment Co., Ltd.	9,124,000	-	10.22%

Note 1: The information of major shareholders presented in this table is provided by the Taiwan Depository & Clearing Corporation based on the number of ordinary shares and preferred shares held by shareholders with ownership of 5% or greater, that have been issued without physical registration (included treasury shares) by the Group as of the last business day for the current quarter.

The share capital in the consolidated financial statements may differ from the actual number of shares that have been issued without physical registration because of different preparation basis.

Note 2: If a shareholder delivers their shareholdings to the trust, the above information will be disclosed by the individual trustee who opened the trust account. For shareholders who declare insider shareholdings with ownership greater than 10% in accordance with Securities and Exchange Act, the shareholdings include shares held by shareholders and those delivered to the trust over which shareholders have rights to determine the use of trust property. For information relating to insider shareholding declaration, refer to Market Observation Post System.

Note 3: The principle of preparation of this table is to calculate the distribution of the balance of each credit transaction with reference to the roster of securities owners whose transfer has been suspended by the shareholders' temporary meeting (the securities lending will not be replenished).

Note 4: Shareholding rate (%) = Number of shares held / Total number of shares that have been issued without physical registration.

Note 5: Total number of shares that have been issued without physical registration (including treasury shares) is 89,263,150 shares = 89,263,150 (Ordinary share)+ 0 (Preferred share).